



ARIZONA HOUSE OF REPRESENTATIVES FLOOR AMENDMENT EXPLANATION

57th Legislature, 2nd Regular Session

Majority Research Staff

SB 1336: state land department; continuation; oversight

GRIFFIN FLOOR AMENDMENT

1. Defines relevant terms.
2. Repeals the definition of *mineral* in current law.
3. Allows the State Land Commissioner (Commissioner) to renew an existing production lease without public auction if the Commissioner determines outlined criteria are met.
4. Requires a production lease renewed by the Commissioner pursuant to this legislation to provide for a royalty rate that is adjusted according to a market-based indexing mechanism adopted by the Commissioner.
5. Prescribes eligible characteristics of the indexing mechanism.
6. Requires the Commissioner to review the indexed royalty rate for each renewed production lease not more than once every five years.
7. Expands the permitted minerals, to include state land reserved minerals, that are eligible to an applicant of an exploration permit.
8. Limits the number of contiguous sections an exploration permit may apply to, to that of nine sections.
9. Moves, from the State Land Department (SLD) to the Commissioner, the authority to stamp each application that meets the approval requirements.
10. Designates an application for an exploration permit for a specific commodity type as having priority over any other application for an exploration permit.
11. Modifies the definition of *exploration*.
12. Asserts that an exploration permit: shall be for a term of five years after the date of issuance, can be renewed for one additional five-year period and cannot exceed an aggregate of ten years after the date of issuance.
13. Outlines the rights given to a permittee.
14. Provides a timeline, of within 60 days before the expiration of the initial five-year period of an exploration permit, for the filing of an application for renewal of the exploration permit.
15. Transfers and renumbers the section of current law relating to mineral leases on state land.

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16. Modifies when the Commissioner is allowed to require an applicant for an exploration permit to file a surety bond, from prior to the issuance of the permit to in conjunction with issuing the permit.
17. Clarifies that a mineral permit of common variety right of entry permit that the SLD issued before the effective date of this legislation may, at the choice of the permittee:
 - a. continue in effect until the initial expiration date stated in the existing permit; or
 - b. be surrendered at any time before the expiration date and remain subject to replacement with a five-year permit.
18. Specifies the SLD's authority as the primary oversight of all lands owned by this state, and timber, stone, gravel and other products of such lands, except lands under the specific use and control of state institutions and the products of such lands.
19. Mandates the SLD cooperate and seek the advice of the President of the Arizona Senate and the Speaker of the Arizona House of Representatives on the communication in matters involving:
 - a. a federal land withdrawal or reservation; or
 - b. the federal government's acquisition of non-federally controlled land.
20. Modifies powers and duties of the SLD.
21. Removes the establishment of the State Land Oversight Board.
22. Requires the SLD establish a procedure and criteria that the Commissioner must use for determining whether to initiate the sale of state lands by the Commissioner's own initiative and to post the procedure and criteria on the SLD's website.
23. Mandates the Commissioner hire third-party contractors to appraise and prepare for public auction.
24. Allows the SLD utilize SLD staff or a third-party contractor to satisfy notice requirements.
25. Clarifies the above requirements to not preclude the Commissioner from selling state lands that have not been identified for sale in the Five-Year Disposition Plan or restrict the use of lands sold to the uses identified in the Conceptual Land Use Plan.
26. Outlines requirements of the SLD relating to lease renewals, permit holdover provisions and special land use permits.
27. Transfers authority for the creation of the Conceptual Land Use Plan from the Commissioner to the SLD.
28. Includes approval of the Conceptual Land Use Plan as a requirement of the SLD.

29. Expands characteristics to prioritize in the creation of the Conceptual Land Use Plan to include promoting economic growth in the rural areas of the state.
30. Requires the Commissioner issue a written order approving each Conceptual Land Use Plan and revision.
31. Includes the Arizona Geological Survey (AZGS) in the parties to be consulted for state trust land in the Conceptual Land Use Plan.
32. Requires the Conceptual Land Use Plan, the Commissioner's written approval of each Conceptual Land Use Plan and any revisions on the SLD's website.
33. Requires the Commissioner use both SLD staff and private consultants in the creation of the Conceptual Land Use Plans.
34. Specifies that a five-year disposition plan must be created for all state trust land in each county.
35. Modifies the definition of *Conceptual Land Use Plan*.
36. Modifies what the Trust Land Management Fund (Fund) consists of.
37. Expands uses of monies in the Fund.
38. Establishes the Joint Legislative Ad Hoc Committee on State Land Oversight (Committee).
39. Outlines the Committee's membership and duties.
40. Requires the SLD and Commissioner, upon request of the cochairpersons of the Committee, to provide any requested information and appear and testify.
41. Repeals the Committee on January 1, 2027.
42. Requires the SLD, before July 1, 2027, collaborate with stakeholders and members of the Committee to develop procedures and criteria for Commissioner initiated sales of state land.
43. Repeals the above requirement on January 1, 2029.
44. Outlines requirements of the Commissioner that must be completed within two years of the effective date of this legislation.
45. Establishes a Biosolids Study Committee (Study Committee)
46. Outlines the Study Committee's membership, duties, abilities and reporting requirements.
47. Repeals the Study Committee on July 1, 2030.
48. Modifies the legislative findings and purpose sections.
49. Makes technical and conforming changes.

GRIFFIN FLOOR AMENDMENT
HOUSE OF REPRESENTATIVES AMENDMENTS TO S.B. 1336
(Reference to Senate engrossed bill)

Amendment instruction key:

[GREEN UNDERLINING IN BRACKETS] indicates text added to statute or previously enacted session law.

[Green underlining in brackets] indicates text added to new session law or text restoring existing law.

~~[GREEN STRIKEOUT IN BRACKETS]~~ indicates new text removed from statute or previously enacted session law.

~~[Green strikeout in brackets]~~ indicates text removed from existing statute, previously enacted session law or new session law.

<<Green carets>> indicate a section added to the bill.

~~<<Green strikeout in carets>>~~ indicates a section removed from the bill.

1 The bill as proposed to be amended is reprinted as follows:

2 <<Section 1. Title 27, chapter 2, article 1, Arizona Revised
3 Statutes, is amended by adding section 27-201.01, to read:

4 27-201.01. Definitions

5 [IN THIS CHAPTER, UNLESS THE CONTEXT OTHERWISE REQUIRES:

6 1. "COMMISSIONER" MEANS THE STATE LAND COMMISSIONER.

7 2. "COMMODITY TYPE":

8 (a) INCLUDES ANY OF THE FOLLOWING:

9 (i) MINERALS.

10 (ii) COMMON VARIETY MINERAL.

11 (iii) OIL AS DEFINED IN SECTION 27-501

12 (iv) GAS AS DEFINED IN SECTION 27-501.

13 (v) GEOTHERMAL RESOURCES AS DEFINED IN SECTION 27-651.

14 (vi) ANY OTHER TANGIBLE NATURAL PRODUCT OF THE LAND, NOT INCLUDING
15 NATIVE PLANTS, TIMBER OR WATER, THAT MAY BE EXPLORED AND PRODUCED IN THE
16 FUTURE.

17 (b) EXCEPT FOR HEAT AND OTHER FORMS OF ENERGY ASSOCIATED WITH
18 GEOTHERMAL RESOURCES AS DEFINED IN SECTION 27-651, DOES NOT INCLUDE
19 NONTANGIBLE NATURAL PRODUCTS OF THE LAND, INCLUDING WIND, SOLAR OR
20 ELECTRICITY GENERATED BY NONTANGIBLE NATURAL PRODUCTS OF THE LAND.

21 3. "COMMON VARIETY MINERAL":

22 (a) INCLUDES:

23 (i) A DEPOSIT OF PETRIFIED WOOD, STONE, PUMICE, PUMICITE, CINDERS,
24 DECOMPOSED GRANITE, SAND, GRAVEL, BOULDERS, COMMON CLAY, FILL DIRT AND
25 WASTE ROCK.

26 (ii) A DEPOSIT THAT, ALTHOUGH THE DEPOSITS MAY HAVE VALUE FOR USE
27 IN TRADE, MANUFACTURING, CONSTRUCTION, LANDSCAPE AND DECORATIVE ROCK

1 INDUSTRIES, DOES NOT POSSESS A DISTINCT, SPECIAL ECONOMIC VALUE FOR THOSE
2 USES BEYOND THE NORMAL USES OF THE DEPOSIT.
3 (iii) A MATERIAL THAT IS USED AS ROAD BASE MATERIAL, RIPRAP,
4 BALLAST, BORROW, FILL, FACING STONE, LANDSCAPE OR ORNAMENTAL USES AND
5 OTHER SIMILAR USES.
6 (b) DOES NOT INCLUDE LIMESTONE THAT IS SUITABLE FOR USE IN
7 PRODUCING CEMENT, METALLURGICAL OR CHEMICAL GRADE LIMESTONE OR GYPSUM.
8 4. "MINERAL" MEANS A METALLIC ORE MINERAL OR INDUSTRIAL MINERAL
9 OTHER THAN A COMMON VARIETY MINERAL.
10 5. "PRODUCTION LEASE" MEANS A LEASE FOR THE PURPOSES OF THE
11 EXTRACTION, SALE OR PROCESSING OR ANY OTHER PROCESSES OF A COMMODITY TYPE.
12 6. "STATE LAND" MEANS ANY LAND THAT IS OWNED OR HELD IN TRUST, OR
13 OTHERWISE, BY THIS STATE, INCLUDING LEASED SCHOOL OR UNIVERSITY LAND.]>>
14 <<Sec. 2. Repeal
15 [Section 27-231, Arizona Revised Statutes, is repealed.]>>
16 <<Sec. 3. Section 27-239, Arizona Revised Statutes, is amended to
17 read:
18 27-239. Inspections, investigations and audits
19 A. The ~~[state land]~~ commissioner or the commissioner's authorized
20 representative may enter, and the lessee shall maintain access to, the
21 state land held under a ~~[mineral]~~ [PRODUCTION] lease at reasonable times
22 to inspect the workings, improvements and other facilities used to extract
23 or sever minerals or common variety ~~[, as defined in section 27-271,]~~ from
24 state lands.
25 B. The commissioner or the commissioner's authorized representative
26 may enter at reasonable times to:
27 1. Obtain factual data or access to records pertinent to mineral
28 production and required to be kept under the terms of the lease.
29 2. Otherwise ascertain compliance with law and the terms of the
30 lease.
31 C. Inspections, investigations and audits under subsection A [OF
32 THIS SECTION] shall be on reasonable notice to the lessee unless
33 reasonable grounds exist to believe that notice would frustrate the
34 enforcement of law or the terms of the lease. The commissioner may, and
35 if required by law shall, apply for and obtain warrants for entry and
36 inspection.
37 D. The commissioner may require a lessee to appear at reasonable
38 times and on reasonable notice at the commissioner's office and produce
39 such records and information as are specified in the notice to determine
40 compliance with the terms of the lease.
41 E. The commissioner shall provide to the lessee a written report of
42 each inspection, investigation and audit under this section.
43 F. Tax records and trade secrets, as defined in section 23-401,
44 obtained under this section are confidential.>>

1 <<Sec. 4. Title 27, chapter 2, article 3, Arizona Revised Statutes,
2 is amended by adding section 27-240, to read:

3 27-240. State trust lands: production leases: renewals:
4 indexed royalties

5 [A. NOTWITHSTANDING ANY OTHER LAW, THE COMMISSIONER MAY RENEW AN
6 EXISTING PRODUCTION LEASE WITHOUT PUBLIC AUCTION IF THE COMMISSIONER
7 DETERMINES ALL OF THE FOLLOWING:

8 1. THE LESSEE IS IN COMPLIANCE WITH THE TERMS OF THE PRODUCTION
9 LEASE.

10 2. THE PRODUCTION LEASE IS IN PRODUCTION OR A PERSON WILL PUT THE
11 PRODUCTION LEASE IN PRODUCTION WITHIN TWO YEARS AFTER THE DATE OF
12 PRODUCTION LEASE RENEWAL.]

13 3. THE RENEWAL IS FOR A TERM THAT IS ALLOWED BY THE LAWS OF THIS
14 STATE.

15 B. A PRODUCTION LEASE THAT THE COMMISSIONER RENEWS PURSUANT TO THIS
16 SECTION SHALL PROVIDE FOR A ROYALTY RATE THAT IS ADJUSTED PURSUANT TO A
17 MARKET-BASED INDEXING MECHANISM THAT THE COMMISSIONER ADOPTS. THE
18 INDEXING MECHANISM MAY INCLUDE ANY OF THE FOLLOWING:

19 1. PRODUCER PRICE INDICES.

20 2. REGIONAL OR STATEWIDE CONSTRUCTION AGGREGATE PRICE INDICES.

21 3. OTHER OBJECTIVE INDICATORS THAT ARE RECOGNIZED BY THE INDUSTRY.

22 C. THE COMMISSIONER SHALL REVIEW THE INDEXED ROYALTY RATE FOR EACH
23 RENEWED PRODUCTION LEASE NOT MORE THAN ONCE EVERY FIVE YEARS.]>>

24 <<Sec. 5. Heading change

25 [The article heading of title 27, chapter 2, article 4, Arizona
26 Revised Statutes, is changed from "MINERAL EXPLORATION PERMITS AND MINERAL
27 LEASES" to "EXPLORATION PERMITS".]>>

28 <<Sec. 6. Section 27-251, Arizona Revised Statutes, is amended to
29 read:

30 27-251. Application for exploration permit

31 A. Any natural person [WHO IS] over eighteen years of age and any
32 other person qualified to transact business in this state may apply to the
33 [state land] commissioner for [a mineral] [AN] exploration permit on [the]
34 state land [it] [, INCLUDING STATE LAND RESERVED MINERALS THAT ARE SUBJECT
35 TO SECTION 37-231, SUBSECTION E. EACH APPLICATION FOR AN EXPLORATION
36 PERMIT ON STATE LAND IN] one or more of the rectangular subdivisions of
37 twenty acres, more or less, or lots, in any [one section] [IDENTIFIED
38 CONTIGUOUS SECTIONS] of the public land survey [MAY NOT EXCEED MORE THAN
39 NINE SECTIONS]. [Such] [THE EXPLORATION PERMIT] application shall be in
40 writing and signed by the applicant, or an authorized agent or attorney
41 for the applicant, and shall contain the name and address of the
42 applicant, a description according to the public land survey of the state
43 land for which the applicant seeks a [mineral exploration] permit~~;~~ and
44 such other information as the commissioner may prescribe by rule. The
45 [application] [APPLICANT] shall [be filed] [FILE THE EXPLORATION PERMIT
46 APPLICATION] with the state land department and shall [be accompanied by
47 payment to the department of a filing fee] [ACCOMPANY THE APPLICATION WITH

1 A FILING FEE PAYABLE TO THE STATE LAND DEPARTMENT] as prescribed pursuant
2 to section 37-107. [THE COMMISSIONER SHALL STAMP] each application
3 [meeting] [THAT MEETS] the requirements of this section [shall be stamped]
4 by the department] with the time and date [it] [THAT THE APPLICATION] is
5 filed with the [STATE LAND] department. [The] [AN] application [FOR AN]
6 EXPLORATION PERMIT FOR A SPECIFIC COMMODITY TYPE] shall have priority over
7 any other [application] [APPLICATION] for a [mineral] exploration permit
8 involving the same state land [which] [THAT] may be filed with the [STATE]
9 LAND] department subsequent to such time and date, and [such] land [shall]
10 be] [THAT IS SUBJECT TO THE EXPLORATION PERMIT APPLICATION FOR A SPECIFIC]
11 TYPE IS] deemed withdrawn as long as the application is pending.

12 B. Not less than thirty days nor more than forty-five days [from]
13 [AFTER] the filing of the application with the [STATE LAND] department,
14 provided there is no prior application for a [mineral] exploration permit
15 [FOR THE SAME COMMODITY TYPE] involving the same state land then pending
16 before the [STATE LAND] department, or if such prior [EXPLORATION]
17 application is then pending but is subsequently cancelled, not more than
18 thirty days after it is [cancelled] [CANCELED], the [STATE LAND]
19 department shall mail to the applicant at the address shown on the
20 application a written notice designating the state land that is described
21 in the [EXPLORATION] application and that, at the time the application was
22 filed with the [STATE LAND] department, was open to application, the
23 amount of rental required to be paid for the [mineral] exploration permit
24 as herein provided, and whether a bond will be required under the
25 provisions of section 27-255 as a condition to [issuance of such] [ISSUING]
26 THE EXPLORATION] permit. If, within thirty days after [the] mailing [of]
27 such] [THE] notice, the applicant pays to the [STATE LAND] department as
28 rental for the permit the amount of [two dollars] [\$2] per acre for each
29 acre of state land designated in the notice and files with the [STATE]
30 LAND] department the bond, if any, required under section 27-255, and if
31 the commissioner finds that issuing the permit is in the best interest of
32 the trust, the commissioner shall issue to the applicant [a mineral] [AN]
33 exploration permit for the state land designated in the notice. The
34 commissioner may deny the application for any of the following reasons:

- 35 1. The application was not made in good faith.
- 36 2. The proposed exploration or possible future mining activities
37 would not be the highest and best use of the trust lands.
- 38 3. The value and income potential of surrounding trust lands would
39 be adversely affected and the benefit from proposed exploration and future
40 mining activity cannot reasonably be expected to be greater than the
41 diminished value to those surrounding trust lands.
- 42 4. The proposed operations would violate applicable state or
43 federal law.
- 44 5. The commissioner determines that the proposed exploration
45 activities or possible future mining activities will create a liability to
46 [the] [THIS] state greater than the income from the proposed operations.

1 C. During the period ~~[such mineral]~~ [THAT AN] exploration permit is
2 in effect~~[.]~~ ~~[no person except]~~ [ONLY] the permittee and the authorized
3 agents and employees of the permittee shall be entitled to explore for
4 ~~[minerals]~~ [THE SPECIFIC COMMODITY TYPE] on the state land covered by the
5 permit. If the applicant fails to make the payment or furnish the bond
6 within the period of thirty days, the application shall be deemed
7 cancelled and of no further effect.>>

8 <<Sec. 7. Title 27, chapter 2, article 4, Arizona Revised Statutes,
9 is amended by adding section 27-251.01, to read:

10 27-251.01. Definition of exploration

11 [IN THIS ARTICLE, UNLESS THE CONTEXT OTHERWISE REQUIRES,
12 "EXPLORATION" MEANS ACTIVITY CONDUCTED ON STATE LAND, INCLUDING ACTIVITY
13 ON STATE RESERVED MINERALS, THAT IS COVERED BY AN EXPLORATION PERMIT
14 ISSUED PURSUANT TO THIS ARTICLE TO DETERMINE THE EXISTENCE OR NONEXISTENCE
15 OF A COMMODITY TYPE, INCLUDING GEOLOGICAL, GEOCHEMICAL OR GEOPHYSICAL
16 SURVEYS CONDUCTED BY QUALIFIED EXPERTS AND DRILLING, SAMPLING AND
17 EXCAVATING, TOGETHER WITH THE COSTS OF ASSAY AND METALLURGICAL TESTING OF
18 SAMPLES FROM STATE LAND.]>>

19 <<Sec. 8. Section 27-252, Arizona Revised Statutes, is amended to
20 read:

21 27-252. Terms of exploration permit

22 A. ~~[Every mineral]~~ [AN] exploration permit shall be for a term of
23 ~~[one year from]~~ [FIVE YEARS AFTER] the date of issuance, subject to
24 ~~[renewals]~~ [THE ELIGIBILITY FOR EXPLORATION PERMIT RENEWAL FOR ONE
25 ADDITIONAL FIVE-YEAR PERIOD] as provided in this article for an aggregate
26 of not to exceed ~~[five]~~ [TEN] years ~~[from such]~~ [AFTER THE] date~~[,]~~ [OF
27 ISSUANCE] and shall give to the permittee the rights, subject [ONLY] to
28 the terms and conditions, as follows:

29 1. During the period ~~[the]~~ [AN EXPLORATION] permit is in force and
30 effect, the permittee shall have the exclusive right to explore for
31 ~~[minerals]~~ [A SPECIFIC COMMODITY TYPE] within the state land covered by
32 the permit and to apply for and obtain a ~~[mineral]~~ [PRODUCTION] lease or
33 leases to the [STATE] land.

34 2. [DURING THE PERIOD THE EXPLORATION PERMIT IS IN FORCE AND
35 EFFECT,] the permittee shall have those surface rights necessary for
36 exploration ~~[for mineral]~~ on the state land covered by the permit~~[,]~~ but
37 may remove from the [STATE] land only that amount of ~~[mineral]~~ [COMMODITY
38 TYPE THAT IS] required by the permittee for sampling, assay and
39 metallurgical testing purposes.

40 3. The permittee shall have the right of ingress to and egress from
41 the [STATE] land covered by the permit across other state lands but only
42 along routes first approved by the commissioner.

43 4. The permittee shall be liable to and shall compensate the owner
44 ~~[and]~~ [OR ANY STATE] lessee of the surface of the state land covered by
45 the permit, or across which the permittee exercises the right of ingress
46 and egress, for any loss to such owner and lessee from damage or

1 destruction caused by the permittee or the permittee's agents or employees
2 to grasses, forage, crops or improvements ~~[upon]~~ [ON] such state land.

3 5. The permit shall terminate automatically as of the end of ~~[any]~~
4 ~~annual~~ [THE INITIAL FIVE-YEAR] period from and after the date of issuance
5 ~~[unless]~~ [AND IS SUBJECT TO RENEWAL FOR AN EXPLORATION PERMIT AS PROVIDED
6 BY THIS ARTICLE.] During ~~[such annual]~~ [THE INITIAL FIVE-YEAR] period~~[,]~~
7 OR ANY RENEWAL PERIOD.] the permittee ~~[expended]~~ [MUST EXPEND] in
8 exploration for ~~[valuable mineral deposits]~~ [THE SPECIFIC COMMODITY TYPE]
9 on the state land covered by the permit not less than the amount per acre
10 provided in this article or paid to the [STATE LAND] department a sum
11 equal thereto, and ~~[prior to]~~ [BEFORE] expiration of ~~[such annual]~~ [THE
12 INITIAL FIVE-YEAR] period shall have filed with the [STATE LAND]
13 department ~~[an application for renewal for the ensuing annual period, and]~~
14 an affidavit showing such expenditure, together with such other proof in
15 support thereof as the commissioner by rule may prescribe. The amount to
16 be so expended or paid to the [STATE LAND] department during each of the
17 first two ~~[annual periods in which such]~~ [YEARS THAT THE] permit may be in
18 effect ~~[shall be not less than ten dollars]~~ [MUST BE AT LEAST \$10] for
19 each acre of state land covered by the permit at the commencement of ~~[such~~
20 ~~annual]~~ [THE FIVE-YEAR] period, and the amount to be so expended or paid
21 to the [STATE LAND] department during each of the last three ~~[annual~~
22 ~~periods in which such]~~ [YEARS THAT THE] permit may be in effect ~~[shall be~~
23 ~~not less than twenty dollars]~~ [MUST BE AT LEAST \$20] for each acre of
24 state land covered by the permit at the commencement of ~~[such annual~~
25 ~~period]~~ [THE FIVE-YEAR PERIOD]. ~~[Prior to]~~ [BEFORE] termination of any
26 ~~[such annual]~~ [FIVE-YEAR PERMIT] period, the permittee may, by instrument
27 in writing filed with the [STATE LAND] department, release from the permit
28 the acreage covered thereby and contained within one or more rectangular
29 subdivisions of twenty acres, more or less, or lots, according to the
30 lines of the public land surveys.

31 6. When a permittee has an interest in one or more contiguous
32 properties ~~[for which he or she]~~ [THAT THE PERSON] holds ~~[a mineral]~~ [AN]
33 exploration permit, ~~[such]~~ [THE] permittee may group such permits and
34 expend the sum required by this article under a common plan of development
35 on one or more of the properties for the benefit of all ~~[if the total area~~
36 ~~of such contiguous property does not exceed three miles on a side]~~.

37 7. ~~[Upon]~~ [ON] termination of the ~~[mineral]~~ exploration permit,
38 other than by issuance of a ~~[mineral]~~ lease, the permittee shall submit to
39 the [STATE LAND] department the following information, which shall not
40 include any chemical analysis or other identification of ~~[minerals]~~
41 [COMMODITY TYPES], concerning any drill holes or wells drilled on state
42 land covered by the permit:

43 (a) Total depth.

44 (b) Lithologies and depths of lithologic boundaries encountered in
45 the hole.

46 (c) Logs of surveys made of the hole~~[,]~~ including gamma ray,
47 resistivity, caliper and deviation surveys.

1 8. Drill hole information shall be confidential for one year after
2 termination of the permit, and such period of confidentiality shall be
3 extended for an additional year ~~[upon]~~ [ON] the request of the permittee.

4 9. Any expenditures in exploration for ~~[valuable mineral deposits]~~
5 [A SPECIFIC COMMODITY TYPE] made in excess of the requirements of this
6 article during any annual period of the permit may be credited against
7 expenditure requirements of successive ~~[annual periods]~~ [YEARS] of the
8 permit.

9 10. In lieu of making expenditures in exploration, the permittee
10 may elect to make a money payment of the amounts required for expenditures
11 in exploration for ~~[valuable mineral deposits]~~ [A SPECIFIC COMMODITY TYPE]
12 to the [STATE LAND] department.

13 B. ~~[Upon]~~ [ON] any partial or total relinquishment~~[-]~~ or [ON] the
14 cancellation or expiration of the permit other than by issuance of a
15 ~~[mineral]~~ [PRODUCTION] lease, the permittee shall fill any holes, ditches
16 or other excavations, as may be required by the commissioner, and, as far
17 as reasonably possible, reclaim the surface to its former condition.

18 ~~[C. As used in this article, "exploration" means activity conducted~~
19 ~~upon the state land covered by an exploration permit to determine the~~
20 ~~existence or nonexistence of a valuable mineral deposit, including but not~~
21 ~~limited to geological, geochemical or geophysical surveys conducted by~~
22 ~~qualified experts, and drilling, sampling and excavation, together with~~
23 ~~the costs of assay and metallurgical testing of samples from such land.]]>>~~

24 <<Sec. 9. Section 27-253, Arizona Revised Statutes, is amended to
25 read:

26 27-253. Renewal of exploration permit

27 The holder of an exploration permit may~~[-, prior to]~~ [WITHIN SIXTY
28 DAYS BEFORE THE] expiration of the ~~[annual]~~ [INITIAL FIVE-YEAR EXPLORATION
29 PERMIT] period ~~[for which such permit was issued, or prior to expiration~~
30 ~~of the annual period for which such permit was renewed]~~, file with the
31 [STATE LAND] department an application for renewal of ~~[such]~~ [THE
32 EXPLORATION] permit for the ensuing ~~[annual]~~ [FIVE-YEAR] period. ~~[No~~
33 ~~such]~~ [AN] application for renewal ~~[shall]~~ [MAY NOT] be filed, nor shall
34 the [EXPLORATION] permit be renewed, for more than ~~[four successive annual~~
35 ~~periods following]~~ [ONE ADDITIONAL FIVE-YEAR PERMIT PERIOD AFTER]
36 expiration of the ~~[annual]~~ [INITIAL FIVE-YEAR] period ~~[for which such]~~
37 [THAT THE] permit was issued. ~~[No rental shall be payable for the first~~
38 ~~annual period for which a permit may be renewed.]~~ The rental for each ~~[of~~
39 ~~the three]~~ subsequent ~~[annual periods following the first annual period]~~
40 [PERMIT PERIOD] for which a permit may be renewed shall be ~~[one dollar]~~
41 [\$1] for each acre of state land for which the application for renewal is
42 filed. ~~[Upon]~~ [ON] receipt by the [STATE LAND] department of the
43 application for renewal, and the affidavit of expenditure of the required
44 amount in exploration during the ~~[current annual]~~ [INITIAL FIVE-YEAR]
45 period or ~~[a]~~ [THE IN LIEU OF] sum ~~[equal thereto]~~, together with such
46 other proof in support of such expenditure as the commissioner by
47 regulation may prescribe, and payment to the [STATE LAND] department of

1 the rental for the ensuing annual period, all ~~[prior to]~~ [BEFORE THE]
2 expiration of the current ~~[annual]~~ [INITIAL FIVE-YEAR] period, the
3 commissioner shall issue a renewal of the [EXPLORATION] permit for the
4 ensuing ~~[annual]~~ [FIVE-YEAR] period.>>

5 <<Sec. 10. Transfer and renumber

6 [Section 27-254, Arizona Revised Statutes, is transferred and
7 renumbered for placement in title 27, chapter 2, article 3, Arizona
8 Revised Statutes, as a new section 27-231.]>>

9 <<Sec. 11. Section 27-255, Arizona Revised Statutes, is amended to
10 read:

11 27-255. Bonds

12 A. The commissioner, in ~~[his]~~ [THE COMMISSIONER'S] discretion, may
13 require the applicant for ~~[a mineral]~~ [AN] exploration permit, ~~[prior to~~
14 ~~issuance of such]~~ [IN CONJUNCTION WITH ISSUING THE EXPLORATION] permit, to
15 file with the commissioner a surety bond, in form and amount and with
16 surety approved by the commissioner, conditioned ~~[upon]~~ [ON] the prompt
17 payment to the owner and lessee of the surface of state land to be covered
18 by the permit, or across which the permittee exercises the right of
19 ingress or egress, for any loss to such owner or lessee from damage or
20 destruction caused by the permittee or his or its agents or employees to
21 grasses, forage, crops and improvements ~~[upon]~~ [ON] such state lands.

22 B. The commissioner may also require the permittee to furnish a
23 bond, in a reasonable amount to be fixed by the commissioner, conditioned
24 that the permittee will guarantee restoration of the surface of the
25 [STATE] land described in the ~~[mineral]~~ exploration permit to its former
26 condition ~~[upon]~~ [ON] any partial or total relinquishment of such [STATE]
27 lands, or the cancellation or expiration of the permit other than by
28 issuance of a ~~[mineral]~~ lease.

29 C. On default, the commissioner may use the proceeds of the bond
30 for the purposes described in subsection A or B [OF THIS SECTION].>>

31 <<Sec. 12. Section 27-256, Arizona Revised Statutes, is amended to
32 read:

33 27-256. Assignment of exploration permits

34 Any ~~[mineral]~~ exploration permit issued ~~[hereunder]~~ [PURSUANT TO
35 THIS ARTICLE] may be assigned in whole or in part by the permittee[.]
36 ~~[, but such]~~ [AN EXPLORATION PERMIT] assignment ~~[shall not become]~~ [IS
37 NOT] effective unless and until [THE PERMITTEE FILES] a copy ~~[thereof is~~
38 ~~filed]~~ [OF THE EXPLORATION PERMIT ASSIGNMENT] with the [STATE LAND]
39 department and ~~[is approved by]~~ the commissioner [APPROVES THE
40 ASSIGNMENT]. The assignee shall succeed to all of the rights and shall be
41 subject to obligations of the permittee under the ~~[mineral]~~ exploration
42 permit.>>

1 <<Sec. 13. Title 27, chapter 2, article 4, Arizona Revised
2 Statutes, is amended by adding section 27-257, to read:

3 27-257. Applicability

4 [A MINERAL PERMIT OR COMMON VARIETY RIGHT OF ENTRY PERMIT THAT THE
5 STATE LAND DEPARTMENT ISSUED BEFORE THE EFFECTIVE DATE OF THIS SECTION MAY
6 DO EITHER OF THE FOLLOWING AT THE CHOICE OF THE PERMITTEE:]

7 1. CONTINUE IN EFFECT UNTIL THE INITIAL EXPIRATION DATE STATED IN
8 THE EXISTING EXPLORATION PERMIT.

9 2. BE SURRENDERED AT ANY TIME BEFORE THE INITIAL EXPIRATION DATE
10 STATED IN THE EXPLORATION PERMIT AND REMAIN SUBJECT TO REPLACEMENT WITH A
11 FIVE-YEAR PERMIT PERIOD AS PROVIDED IN THIS ARTICLE.]>>

12 <<Sec. 14. Repeal

13 [Section 27-271, Arizona Revised Statutes, is repealed.]>>

14 Section 15. Section 37-102, Arizona Revised Statutes, is amended to
15 read:

16 37-102. State land department: powers and duties

17 A. The state land department shall administer all laws relating to
18 lands owned by, belonging to and under the control of this state.

19 B. The department shall have ~~[charge and control]~~ [PRIMARY
20 OVERSIGHT] of all lands owned by this state, and timber, stone, gravel and
21 other products of such lands, except lands under the specific use and
22 control of state institutions and the products of such lands.

23 C. The department, in the name of this state, may commence,
24 prosecute and defend all actions and proceedings to protect the interest
25 of this state in lands within this state or the proceeds of lands within
26 this state. Actions shall be commenced and prosecuted at the request of
27 the department by the attorney general, a county attorney or a special
28 counsel under the direction of the attorney general.

29 D. The department shall be the official representative of this
30 state in any communication between this state and the United States
31 government in all matters respecting state lands or any interest of this
32 state in or to the public lands within this state. [IF THE MATTER INVOLVES
33 A FEDERAL LAND WITHDRAWAL OR RESERVATION OR THE FEDERAL GOVERNMENT'S
34 ACQUISITION OF NON-FEDERALLY CONTROLLED LAND, THE DEPARTMENT SHALL
35 COOPERATE AND SEEK THE ADVICE OF THE PRESIDENT OF THE SENATE AND THE
36 SPEAKER OF THE HOUSE OF REPRESENTATIVES ON THE COMMUNICATION.]

37 E. The summons in any action against this state respecting any
38 lands of this state or the products of such lands and all notices
39 concerning such lands or products shall be served on the commissioner.
40 Summonses, warrants or legal notices served on behalf of the department
41 may be served by the commissioner or the commissioner's deputy, or by the
42 sheriff or a constable of any county of this state.

43 F. The department shall maintain as a public record in each of the
44 department's offices a public docket and index of all matters before the
45 department that may be subject to appeal to the board of appeals or to the
46 courts and all sale, exchange and lease transactions subject to bidding by
47 the public. The department shall list a matter on the public docket

1 immediately after an application or other request for department action is
2 received by the department. The department shall include in the public
3 docket every formal action and decision affecting each matter in question.
4 The department shall establish by rule a means by which any person may
5 obtain a copy of the public docket at the current copying cost.

6 G. The department shall reappraise or update the department's
7 original appraisal of property to be leased, exchanged or sold if the
8 board of appeals' approval of the lease or sale occurred more than two
9 hundred forty days before the auction.

10 H. To the extent possible, the state land department shall:

11 1. Prepare maps of the ancillary military facilities described in
12 section 28-8461, paragraph 7, subdivisions (b) and (c).

13 2. Make a map of the ancillary military facility described in
14 section 28-8461, paragraph 7, subdivision (a) available to the public in
15 printed or electronic format and provide the map in printed or electronic
16 format to the state real estate department.

17 3. On receipt of proper information from the military installation
18 commander with responsibility for the military electronics range, prepare
19 a map of the military electronics range as defined in section 9-500.28 and
20 make that map available to the public in printed or electronic format and
21 provide the map in printed or electronic format to the state real estate
22 department. Within ninety days after receipt of notice of any change in
23 the boundaries of the military electronics range from the military
24 installation commander, the state land department shall revise its map and
25 provide the map to the public and to the state real estate department.

26 4. On or before December 31, 2024 and on receipt of proper
27 information from the applicable military installation's and range's and
28 Arizona national guard site's commanders, prepare electronic legal
29 descriptions and maps of the military installation and range and Arizona
30 national guard site and their respective influence areas as defined in
31 sections 9-500.50 and 11-818.01 and provide the legal descriptions and
32 maps to the state real estate department and the public. The state land
33 department shall make changes to the boundaries of the military
34 installation and range and ARIZONA national guard site and their
35 respective influence areas and provide them to the state real estate
36 department and the public within ninety days after receipt of those
37 changes from the military installation's and range's and Arizona national
38 guard site's commanders.

39 [1. THE DEPARTMENT SHALL:]

40 ~~[5. ADOPT RULES TO ESTABLISH APPROPRIATE TIME FRAMES FOR ACTION ON~~
41 ~~ANY APPLICATION OR OTHER COMPARABLE REQUEST THAT AN APPLICANT OR~~
42 ~~INSTRUMENT HOLDER SUBMITS TO THE DEPARTMENT AS PRESCRIBED IN TITLE 41,~~
43 ~~CHAPTER 6, ARTICLE 7.1. THE DEPARTMENT SHALL MAINTAIN A LIST ON THE~~
44 ~~DEPARTMENT'S WEBSITE OF ALL LICENSE APPLICATIONS AND ACTIONS TAKEN ON THE~~
45 ~~APPLICATIONS. IF THE DEPARTMENT FAILS TO ACT WITHIN ANY TIME FRAME~~
46 ~~ESTABLISHED PURSUANT TO THIS PARAGRAPH, THE DEPARTMENT IS SUBJECT TO THE~~
47 ~~SAME PENALTIES PRESCRIBED IN SECTION 41-1077.]~~

1 ~~[6.] [1.] RESTRICT THE USE OF A [LEASE OR PERMIT] HOLDOVER~~
2 ~~PROVISION [FOR A LEASE OR PERMIT] TO NOT MORE THAN NINETY DAYS.[IF THE~~
3 ~~DEPARTMENT DOES NOT TAKE ACTION ON A LEASE RENEWAL WITHIN NINETY DAYS, THE~~
4 ~~LEASE AUTOMATICALLY EXTENDS FOR THREE YEARS AND NINETY DAYS AFTER THE~~
5 ~~INITIAL DATE OF EXPIRATION. NOTWITHSTANDING ANY OTHER LAW, A HOLDOVER~~
6 ~~TENANT WHOSE LEASE IS TERMINATED BY THE DEPARTMENT SHALL RECEIVE IMMEDIATE~~
7 ~~REIMBURSEMENT FOR THE FAIR MARKET VALUE, AS DETERMINED BY AN INDEPENDENT~~
8 ~~THIRD-PARTY VENDOR, OF ANY REASONABLE AND CUSTOMARY IMPROVEMENTS THAT THE~~
9 ~~HOLDOVER TENANT MADE TO THE STATE LAND.~~

10 ~~7. FOR A LEASE RENEWAL AND SPECIAL LAND USE PERMIT:~~

11 ~~(a) APPROVE ANY IMPROVEMENTS THAT ARE CUSTOMARY IN THE LESSEE'S OR~~
12 ~~PERMITTEE'S COURSE OF BUSINESS. NOTWITHSTANDING ANY OTHER LAW, ON~~
13 ~~CONCLUSION OF THE LEASE OR SPECIAL LAND USE PERMIT, THE DEPARTMENT SHALL~~
14 ~~REIMBURSE THE LESSEE OR PERMITTEE FOR THE IMPROVEMENTS WITH MONIES FROM~~
15 ~~THE STATE LAND TRUST.~~

16 ~~(b) NOT LESS THAN SIX MONTHS BEFORE THE EXPIRATION OF THE LEASE~~
17 ~~RENEWAL OR SPECIAL LAND USE PERMIT, PROVIDE NOTICE OF EXPIRATION. THE~~
18 ~~NOTICE MUST INCLUDE ALL OF THE FOLLOWING:~~

19 ~~(i) ANY PROPOSED RENTAL INCREASE OR CHANGE TO THE TERMS AND~~
20 ~~CONDITIONS OF THE LEASE RENEWAL OR SPECIAL LAND USE PERMIT.~~

21 ~~(ii) THE INTENT OF THE DEPARTMENT TO RENEW OR TERMINATE THE LEASE~~
22 ~~ON EXPIRATION AND AN EXPLANATION OF THE DEPARTMENT'S RENEWAL OR~~
23 ~~TERMINATION PROCESS.~~

24 ~~(iii) THE JUSTIFICATION FOR THE COMMISSIONER'S DECISION PURSUANT TO~~
25 ~~SECTION 37-133.]~~

26 ~~[8.] [2.] RESTRICT THE USE OF SPECIAL LAND USE PERMITS TO ONLY~~
27 ~~TEMPORARY LAND USES THAT DO NOT HAVE A DEDICATED LAND USE LEASE OR PERMIT.~~
28 ~~[THE DEPARTMENT SHALL ISSUE A SPECIAL LAND USE PERMIT ONLY FOR A SET TIME~~
29 ~~FRAME ENUMERATED IN THE SPECIAL LAND USE PERMIT. THE DEPARTMENT MAY NOT~~
30 ~~CANCEL A SPECIAL LAND USE PERMIT UNLESS THE SPECIAL LAND USE PERMITTEE~~
31 ~~VIOLATES THE TERMS OF THE SPECIAL LAND USE PERMIT.]~~

32 ~~[9. COLLABORATE WITH THE STATE NATURAL RESOURCE CONSERVATION BOARD~~
33 ~~ESTABLISHED BY SECTION 41-6011, OR THE APPLICABLE NATURAL RESOURCE~~
34 ~~CONSERVATION DISTRICT OR SOIL AND WATER CONSERVATION DISTRICT AS~~
35 ~~DESIGNATED BY THE BOARD, ON THE REVIEW OF ANY PROPOSED FEDERAL~~
36 ~~CONSERVATION-RELATED PERMIT ON NONURBAN STATE LANDS.~~

37 ~~10. FOR THE LEASE OF THE STATE LANDS, NOT INCLUDE TERMS IN THE~~
38 ~~LEASE THAT ARE MORE STRINGENT THAN STATUTE.~~

39 ~~11. PROTECT AND UPHOLD THE DUE PROCESS RIGHTS OF A PERSON THAT DOES~~
40 ~~BUSINESS WITH THE DEPARTMENT CONSISTENT WITH THE REGULATORY BILL OF RIGHTS~~
41 ~~PREScribed IN SECTION 41-1001.01. IN ADDITION TO SUBMITTING A COMPLAINT~~
42 ~~TO THE OFFICE OF OMBUDSMAN-CITIZENS AIDE AS PRESCRIBED IN SECTION~~
43 ~~41-1001.01, SUBSECTION A, PARAGRAPH 19, A PERSON MAY FILE A COMPLAINT WITH~~
44 ~~THE ATTORNEY GENERAL ALLEGING A VIOLATION OF THIS PARAGRAPH. THE ATTORNEY~~
45 ~~GENERAL SHALL INVESTIGATE ANY COMPLAINTS AND ISSUE A WRITTEN ORDER~~
46 ~~OUTLINING ANY FINDINGS.]~~

1 ~~[3.]~~ ESTABLISH OVERALL TIME FRAMES DURING WHICH THE DEPARTMENT WILL
2 GRANT OR DENY EACH TYPE OF PERMIT, CERTIFICATE, APPROVAL OR PERMISSION
3 THAT THE DEPARTMENT ISSUES. TITLE 41, CHAPTER 6, ARTICLE 7.1 APPLIES TO
4 THE DEPARTMENT AND TO ALL PERMITS, CERTIFICATES, APPROVALS AND PERMISSIONS
5 THAT THE DEPARTMENT IS RESPONSIBLE FOR ISSUING PURSUANT TO STATE LAW.

6 ~~4.~~ PROTECT AND UPHOLD THE DUE PROCESS RIGHTS OF A PERSON THAT
7 PROVIDES REVENUE TO THE DEPARTMENT PURSUANT TO A CONVEYANCE OF STATE LANDS
8 CONSISTENT WITH THE REGULATORY BILL OF RIGHTS PRESCRIBED IN SECTION
9 41-1001.01.

10 ~~5.~~ USE PUBLICLY POSTED CRITERIA THAT ARE CREATED BY THE DEPARTMENT
11 AND POSTED ON THE DEPARTMENT'S WEBSITE, DETERMINE THE ADMINISTRATIVE
12 COMPLETENESS OF ALL APPLICATIONS THAT THE DEPARTMENT RECEIVES PURSUANT TO
13 STATE LAW. AN APPLICATION IS AUTOMATICALLY WITHDRAWN IF THE APPLICANT
14 DOES NOT RESPOND TO A NOTICE OF DEFICIENCY OR REQUEST FOR ADDITIONAL
15 INFORMATION WITHIN THREE MONTHS AFTER THE NOTICE OR REQUEST.

16 ~~6.~~ MAKE AVAILABLE TO THE PUBLIC ON THE DEPARTMENT'S WEBSITE ALL
17 LEASE, PATENT, ADDENDUM, APPLICATION AND OTHER INSTRUMENT CONDITIONS AND
18 OBLIGATIONS THAT THE DEPARTMENT REQUIRES IN A LEASE, PATENT, ADDENDUM OR
19 OTHER INSTRUMENT FOR THE USE, POSSESSION, OCCUPANCY, LEASE OR CONVEYANCE
20 OF STATE LANDS. THE DEPARTMENT MAY NOT INCLUDE ANY TERM, CONDITION OR
21 OBLIGATION IN AN INSTRUMENT FOR THE USE, POSSESSION, OCCUPANCY, LEASE OR
22 CONVEYANCE OF STATE LANDS THAT IS NOT AUTHORIZED BY STATUTE, THAT IS MORE
23 STRINGENT THAN STATUTE OR THAT IS NOT POSTED AND AVAILABLE TO THE PUBLIC
24 ON THE DEPARTMENT'S WEBSITE.]

25 ~~[F.]~~ [J.] The state land department shall provide each map and the
26 legal description of the boundaries of each ancillary military facility
27 described in section 28-8461, paragraph 7 in electronic format to the
28 state real estate department. Each map prepared by the state land
29 department pursuant to this section shall:

30 1. Describe the ancillary military facility, the territory in the
31 vicinity of the ancillary military facility and the high noise and
32 accident potential zone, accident potential zone one and accident
33 potential zone two associated with the ancillary military facility.

34 2. Be submitted to the county in which the ancillary military
35 facility is located.

36 3. Be made available to the public.

37 ~~[G.]~~ [K.] The state land department shall prepare a military
38 training route map. The map shall contain military training route numbers
39 in this state that are used by various United States armed forces. The
40 map shall be dated.

41 ~~[K.]~~ [L.] When preparing the military training route map, the state
42 land department shall use information contained in the most current
43 department of defense publication that is entitled "area planning military
44 training routes for North and South America".

45 ~~[L.]~~ [M.] The military training route map shall be made available
46 to the public.

1 ~~[M.]~~ [N.] Within ninety days after the department is notified of a
2 change of a military training route in this state, the department shall
3 prepare a revised military training route map. The map shall be dated and
4 contain a statement that the map supersedes all previously dated maps.
5 The state land department shall send the revised map to the state real
6 estate department electronically and shall also send an accompanying
7 letter specifying the military training route changes. The state land
8 department shall send the revised map and an accompanying letter
9 specifying the military training route changes to the municipalities
10 affected by the changes and to all counties.

11 ~~[N.]~~ [O.] The department shall submit the military training route
12 map prepared pursuant to this section to the counties in either an
13 electronic or a printed format. The format shall be determined by the
14 receiving county.

15 ~~[O.]~~ [P.] The state land department shall provide the legal
16 description of the boundaries of the military training routes as
17 delineated in the military training route map to the state real estate
18 department in electronic format.

19 ~~[P.]~~ [Q.] The state land department shall prepare a military
20 restricted airspace map. The map shall contain military restricted
21 airspace in this state that is used by various United States armed
22 forces. The map shall be dated.

23 ~~[Q.]~~ [R.] When preparing the military restricted airspace map, the
24 state land department shall use information contained in the most current
25 department of transportation publication that is entitled "aeronautical
26 chart".

27 ~~[R.]~~ [S.] The military restricted airspace map shall be made
28 available in printed or electronic format to the public at the state land
29 department and at the state real estate department.

30 ~~[S.]~~ [T.] Within ninety days after the department is notified of a
31 change of military restricted airspace in this state, the department shall
32 prepare a revised military restricted airspace map. The map shall be
33 dated and contain a statement that the map supersedes all previously dated
34 maps. The state land department shall send the revised map to the state
35 real estate department electronically and shall also send an accompanying
36 letter specifying the military restricted airspace changes. The state
37 land department shall send the revised map and an accompanying letter
38 specifying the military restricted airspace changes to the municipalities
39 affected by the changes and to all counties.

40 ~~[T.]~~ [U.] The department shall submit the military restricted
41 airspace map prepared pursuant to this section to the counties in either
42 an electronic or a printed format. The format shall be determined by the
43 receiving county.

44 ~~[U.]~~ [V.] The state land department shall provide the legal
45 description of the boundaries of the military restricted airspace as
46 delineated in the military restricted airspace map to the state real
47 estate department in electronic format.

1 ~~[V.] [W.]~~ The department may accept title to and manage real
2 estate, property rights and related infrastructure acquired pursuant to
3 section 26-262, subsection K for preserving or enhancing military
4 installations in this state.

5 ~~<<Sec. 2. Title 37, chapter 1, article 1, Arizona Revised Statutes,~~
6 ~~is amended by adding sections 37-111 and 37-112, to read:~~

7 ~~37-111. State land oversight board, membership;~~
8 ~~fingerprinting; conduct of office; definition~~

9 ~~A. THE STATE LAND OVERSIGHT BOARD IS ESTABLISHED TO PROVIDE BROAD~~
10 ~~OVERSIGHT OF THE STATE LAND DEPARTMENT AND TO PERFORM OTHER DUTIES AS~~
11 ~~PRESCRIBED BY LAW.~~

12 ~~B. THE BOARD CONSISTS OF THE FOLLOWING MEMBERS:~~

13 ~~1. FOUR PERSONS FROM A COUNTY WITH A POPULATION OF FOUR HUNDRED~~
14 ~~THOUSAND PERSONS OR MORE.~~

15 ~~2. FOUR PERSONS FROM A COUNTY WITH A POPULATION OF LESS THAN FOUR~~
16 ~~HUNDRED THOUSAND PERSONS.~~

17 ~~3. ONE PERSON WHO SPECIALIZES IN FINANCE OR STATEWIDE LAND USE~~
18 ~~NEEDS.~~

19 ~~4. THE FOLLOWING AS ADVISORY MEMBERS WITHOUT THE POWER TO VOTE BUT~~
20 ~~WHO MAY ATTEND EXECUTIVE SESSIONS OF THE BOARD:~~

21 ~~(a) THE PRESIDENT OF THE SENATE OR THE PRESIDENT'S DESIGNEE.~~

22 ~~(b) THE SPEAKER OF THE HOUSE OF REPRESENTATIVES OR THE SPEAKER'S~~
23 ~~DESIGNEE.~~

24 ~~(c) THE MINORITY LEADER OF THE SENATE OR THE MINORITY LEADER'S~~
25 ~~DESIGNEE.~~

26 ~~(d) THE MINORITY LEADER OF THE HOUSE OF REPRESENTATIVES OR THE~~
27 ~~MINORITY LEADER'S DESIGNEE.~~

28 ~~(e) THE COMMISSIONER OR THE COMMISSIONER'S DESIGNEE.~~

29 ~~(f) THE DIRECTOR OF THE DEPARTMENT OF ENVIRONMENTAL QUALITY OR THE~~
30 ~~DIRECTOR'S DESIGNEE.~~

31 ~~(g) THE DIRECTOR OF THE DEPARTMENT OF WATER RESOURCES OR THE~~
32 ~~DIRECTOR'S DESIGNEE.~~

33 ~~(h) THE DIRECTOR OF THE DEPARTMENT OF ADMINISTRATION OR THE~~
34 ~~DIRECTOR'S DESIGNEE.~~

35 ~~(i) THE CHIEF EXECUTIVE OFFICER OF THE ARIZONA COMMERCE AUTHORITY~~
36 ~~OR THE CHIEF EXECUTIVE OFFICER'S DESIGNEE.~~

37 ~~C. THE FOLLOWING APPLY TO THE MEMBERS APPOINTED PURSUANT TO~~
38 ~~SUBSECTION B, PARAGRAPHS 1 AND 2 OF THIS SECTION:~~

39 ~~1. NO THREE APPOINTED MEMBERS OF THE BOARD MAY BE RESIDENTS OF THE~~
40 ~~SAME COUNTY, AND AT LEAST ONE APPOINTED MEMBER OF THE BOARD SHALL BE A~~
41 ~~RESIDENT OF EACH COUNTY WITH A POPULATION OF FOUR HUNDRED THOUSAND PERSONS~~
42 ~~OR MORE.~~

43 ~~2. MEMBERS MUST HAVE A SUBSTANTIAL KNOWLEDGE OF AND EXPERIENCE WITH~~
44 ~~LAND MANAGEMENT OR FINANCE, INCLUDING PUBLIC FINANCE.~~

45 ~~D. THE FOLLOWING APPLY TO ALL MEMBERS APPOINTED PURSUANT TO~~
46 ~~SUBSECTION B, PARAGRAPHS 1, 2 AND 3 OF THIS SECTION:~~

1 ~~1. THE GOVERNOR SHALL APPOINT TWO OF THE MEMBERS FROM A COUNTY WITH~~
2 ~~A POPULATION OF FOUR HUNDRED THOUSAND PERSONS OR MORE, SHALL APPOINT TWO~~
3 ~~OF THE MEMBERS FROM A COUNTY WITH A POPULATION OF LESS THAN FOUR HUNDRED~~
4 ~~THOUSAND PERSONS AND SHALL APPOINT THE MEMBER WHO SPECIALIZES IN FINANCE~~
5 ~~OR STATEWIDE LAND MANAGEMENT FROM A JOINT LIST OF AT LEAST FIVE QUALIFIED~~
6 ~~APPLICANTS SUBMITTED BY THE PRESIDENT OF THE SENATE AND THE SPEAKER OF THE~~
7 ~~HOUSE OF REPRESENTATIVES.~~

8 ~~2. THE PRESIDENT OF THE SENATE AND THE MINORITY LEADER OF THE~~
9 ~~SENATE SHALL APPOINT ONE OF THE MEMBERS FROM A COUNTY WITH A POPULATION OF~~
10 ~~FOUR HUNDRED THOUSAND PERSONS OR MORE AND ONE OF THE MEMBERS FROM A COUNTY~~
11 ~~WITH A POPULATION OF LESS THAN FOUR HUNDRED THOUSAND PERSONS. THE~~
12 ~~PRESIDENT OF THE SENATE AND THE MINORITY LEADER OF THE SENATE SHALL~~
13 ~~ALTERNATE THE TERMS IN WHICH THESE MEMBERS ARE APPOINTED.~~

14 ~~3. THE SPEAKER OF THE HOUSE OF REPRESENTATIVES AND THE MINORITY~~
15 ~~LEADER OF THE HOUSE OF REPRESENTATIVES SHALL APPOINT ONE OF THE MEMBERS~~
16 ~~FROM A COUNTY WITH A POPULATION OF FOUR HUNDRED THOUSAND PERSONS OR MORE~~
17 ~~AND ONE OF THE MEMBERS FROM A COUNTY WITH A POPULATION OF LESS THAN FOUR~~
18 ~~HUNDRED THOUSAND PERSONS. THE SPEAKER OF THE HOUSE OF REPRESENTATIVES AND~~
19 ~~THE MINORITY LEADER OF THE HOUSE OF REPRESENTATIVES SHALL ALTERNATE THE~~
20 ~~TERMS IN WHICH THESE MEMBERS ARE APPOINTED.~~

21 ~~4. APPOINTED MEMBERS SERVE FIVE-YEAR TERMS OF OFFICE BEGINNING AND~~
22 ~~ENDING ON THE THIRD MONDAY IN JANUARY AND ARE ELIGIBLE FOR~~
23 ~~REAPPOINTMENT. A MEMBER MAY BE REMOVED ONLY FOR CAUSE BY THE PERSON WHO~~
24 ~~THEN HOLDS THE SAME OFFICE AS THE PERSON WHO APPOINTED THAT MEMBER.~~

25 ~~5. MEMBERS SHALL BE RESIDENTS OF THIS STATE FOR AT LEAST TWO YEARS.~~

26 ~~6. THE ORDER IN WHICH THE MEMBERS ARE APPOINTED PURSUANT TO~~
27 ~~SUBSECTION B, PARAGRAPHS 1 AND 2 OF THIS SECTION IS:~~

28 ~~(a) FOR THE INITIAL TERM AND EVERY THIRD TERM THEREAFTER, THE~~
29 ~~PRESIDENT OF THE SENATE AND THE MINORITY LEADER OF THE SENATE SHALL~~
30 ~~APPOINT FIRST, THE GOVERNOR SHALL APPOINT SECOND AND THE SPEAKER OF THE~~
31 ~~HOUSE OF REPRESENTATIVES AND THE MINORITY LEADER OF THE HOUSE OF~~
32 ~~REPRESENTATIVES SHALL APPOINT THIRD.~~

33 ~~(b) FOR THE SECOND TERM AND EVERY THIRD TERM THEREAFTER, THE~~
34 ~~GOVERNOR SHALL APPOINT FIRST, THE SPEAKER OF THE HOUSE OF REPRESENTATIVES~~
35 ~~AND THE MINORITY LEADER OF THE HOUSE OF REPRESENTATIVES SHALL APPOINT~~
36 ~~SECOND AND THE PRESIDENT OF THE SENATE AND THE MINORITY LEADER OF THE~~
37 ~~SENATE SHALL APPOINT THIRD.~~

38 ~~(c) FOR THE THIRD TERM AND EVERY THIRD TERM THEREAFTER, THE SPEAKER~~
39 ~~OF THE HOUSE OF REPRESENTATIVES AND THE MINORITY LEADER OF THE HOUSE OF~~
40 ~~REPRESENTATIVES SHALL APPOINT FIRST, THE PRESIDENT OF THE SENATE AND THE~~
41 ~~MINORITY LEADER OF THE SENATE SHALL APPOINT SECOND AND THE GOVERNOR SHALL~~
42 ~~APPOINT THIRD.~~

43 ~~E. BEFORE A MEMBER IS APPOINTED TO THE BOARD PURSUANT TO SUBSECTION~~
44 ~~C OR D OF THIS SECTION, THE PROSPECTIVE MEMBER SHALL SUBMIT A FULL SET OF~~
45 ~~FINGERPRINTS TO THE GOVERNOR FOR THE PURPOSE OF OBTAINING A STATE AND~~
46 ~~FEDERAL CRIMINAL RECORDS CHECK PURSUANT TO SECTION 41-1750 AND PUBLIC LAW~~
47 ~~92-544. THE GOVERNOR SHALL SUBMIT THE FINGERPRINTS TO THE DEPARTMENT OF~~

~~1 PUBLIC SAFETY. THE DEPARTMENT OF PUBLIC SAFETY MAY EXCHANGE THIS
2 FINGERPRINT DATA WITH THE FEDERAL BUREAU OF INVESTIGATION.~~

~~3 F. THE BOARD SHALL ELECT A CHAIRPERSON OF THE BOARD FROM AMONG THE
4 VOTING MEMBERS. THE CHAIRPERSON MAY APPOINT SUBCOMMITTEES AS NECESSARY.~~

~~5 G. THE BOARD MAY REQUEST ASSISTANCE FROM REPRESENTATIVES OF OTHER
6 STATE AGENCIES. THE DEPARTMENT SHALL PROVIDE TECHNICAL ASSISTANCE TO THE
7 BOARD.~~

~~8 H. BOARD MEMBERS SERVE WITHOUT COMPENSATION BUT ARE ELIGIBLE FOR
9 REIMBURSEMENT OF EXPENSES PURSUANT TO TITLE 38, CHAPTER 4, ARTICLE 2. A
10 BOARD MEMBER WHO IS OTHERWISE EMPLOYED AS A PUBLIC OFFICER MAY NOT RECEIVE
11 REIMBURSEMENT PURSUANT TO THIS SUBSECTION IF IT IS OTHERWISE PROHIBITED BY
12 LAW.~~

~~13 I. A MAJORITY OF THE VOTING MEMBERS CONSTITUTES A QUORUM FOR THE
14 PURPOSE OF AN OFFICIAL MEETING FOR CONDUCTING BUSINESS. AN AFFIRMATIVE
15 VOTE OF A MAJORITY OF THE VOTING MEMBERS PRESENT AT AN OFFICIAL MEETING IS
16 SUFFICIENT FOR THE BOARD TO TAKE ANY ACTION.~~

~~17 J. THE BOARD SHALL KEEP AND MAINTAIN A COMPLETE AND ACCURATE RECORD
18 OF ALL BOARD PROCEEDINGS.~~

~~19 K. THE BOARD AND ANY SUBCOMMITTEES ARE SUBJECT TO TITLE 38, CHAPTER
20 3, ARTICLE 3.1, RELATING TO PUBLIC MEETINGS, EXCEPT ADVISORY NONVOTING
21 MEMBERS OF THE BOARD MAY ATTEND EXECUTIVE SESSIONS OF THE BOARD.~~

~~22 L. THE BOARD, ITS SUBCOMMITTEES AND THE OFFICERS AND ANY EMPLOYEES
23 OF THE BOARD ARE SUBJECT TO TITLE 38, CHAPTER 3, ARTICLE 8, RELATING TO
24 CONFLICTS OF INTEREST. IN ADDITION TO THE CONFLICT OF INTEREST PROVISIONS
25 IN TITLE 38, CHAPTER 3, ARTICLE 8, AND EXCEPT FOR EMPLOYEES OF THIS STATE
26 OR A POLITICAL SUBDIVISION OF THIS STATE, THE FOLLOWING APPLY:~~

~~27 1. A PERSON IS NOT ELIGIBLE FOR APPOINTMENT TO THE BOARD IF THE
28 PERSON OR THE PERSON'S RELATIVE MEETS ANY OF THE FOLLOWING CRITERIA:~~

~~29 (a) IS EMPLOYED BY OR PARTICIPATES IN THE MANAGEMENT OF A BUSINESS
30 ENTITY OR OTHER ORGANIZATION THAT LEASES OR BUYS STATE LANDS.~~

~~31 (b) OWNS, CONTROLS OR HAS, DIRECTLY OR INDIRECTLY, MORE THAN A TEN
32 PERCENT INTEREST IN A BUSINESS ENTITY OR OTHER ORGANIZATION THAT BUYS OR
33 LEASES STATE LANDS.~~

~~34 (c) USES OR RECEIVES A SUBSTANTIAL AMOUNT OF TANGIBLE GOODS,
35 SERVICES OR MONIES FROM THE DEPARTMENT.~~

~~36 (d) HAS A PERSONAL FINANCIAL INTEREST IN THE CONVEYANCE OF STATE
37 LANDS. THE PERSON OR THE PERSON'S RELATIVE DOES NOT HAVE A PERSONAL
38 FINANCIAL INTEREST IF THE PERSON OR THE PERSON'S RELATIVE IS A MEMBER OF A
39 CLASS OF PERSONS AND IT REASONABLY APPEARS THAT A MAJORITY OF THE TOTAL
40 MEMBERSHIP OF THAT CLASS IS TO BE AFFECTED BY THE ACTION.~~

~~41 2. A PERSON MAY NOT BE A VOTING MEMBER OF THE BOARD OR ACT AS THE
42 GENERAL COUNSEL TO THE BOARD OR AUTHORITY IF THE PERSON IS REQUIRED TO
43 REGISTER AS A LOBBYIST.~~

~~44 3. A PERSON MAY NOT BE A MEMBER OF THE BOARD OR AN EMPLOYEE OF THE
45 BOARD IF THE PERSON OR THE PERSON'S RELATIVE IS AN OFFICER, EMPLOYEE OR
46 PAID CONSULTANT FOR A WATER USERS' ASSOCIATION OR TRADE ASSOCIATION.~~

1 ~~M. AN EMPLOYEE OF A POLITICAL SUBDIVISION OF THIS STATE WHO SERVES~~
2 ~~ON THE BOARD MAY NOT PARTICIPATE IN THE CONSIDERATION OF OR A VOTE~~
3 ~~CONCERNING ANY CONVEYANCE THAT WILL DIRECTLY BENEFIT THE POLITICAL~~
4 ~~SUBDIVISION.~~

5 ~~N. THE BOARD SHALL ADOPT WRITTEN POLICIES, PROCEDURES AND~~
6 ~~GUIDELINES FOR STANDARDS OF CONDUCT, INCLUDING A GIFT POLICY, FOR MEMBERS~~
7 ~~OF THE BOARD AND FOR OFFICERS AND EMPLOYEES OF THE BOARD.~~

8 ~~O. THE BOARD IS A PUBLIC BODY THAT IS SUBJECT TO TITLE 38, CHAPTER~~
9 ~~3, ARTICLE 3. THE BOARD SHALL OPERATE ON THE STATE FISCAL YEAR.~~

10 ~~P. ALL STATE AGENCIES SHALL COOPERATE WITH THE BOARD AND MAKE~~
11 ~~AVAILABLE DATA PERTAINING TO THE FUNCTIONS OF THE BOARD AS REQUESTED BY~~
12 ~~THE BOARD.~~

13 ~~Q. FOR THE PURPOSES OF THIS SECTION, "TRADE ASSOCIATION" MEANS ANY~~
14 ~~COOPERATIVE, ASSOCIATION OR BUSINESS ORGANIZATION, WHETHER OR NOT~~
15 ~~INCORPORATED UNDER FEDERAL OR STATE LAW, THAT IS DESIGNED TO ASSIST ITS~~
16 ~~MEMBERS, INDUSTRY OR PROFESSION IN ADVOCATING FOR OR PROMOTING THEIR~~
17 ~~COMMON INTEREST.~~

18 ~~37-112. State land oversight board; powers and duties; annual~~
19 ~~report~~

20 ~~A. THE STATE LAND OVERSIGHT BOARD MAY:~~

21 ~~1. HOLD PUBLIC MEETINGS TO RECEIVE TESTIMONY AND STAKEHOLDER INPUT~~
22 ~~REGARDING THE STATE LAND DEPARTMENT'S PROCESSES.~~

23 ~~2. CONFER WITH SUBJECT MATTER EXPERTS ON ANY MATTERS RELATING TO~~
24 ~~MANAGING, LEASING, DEVELOPING AND DISPOSING STATE LANDS.~~

25 ~~B. THE BOARD SHALL:~~

26 ~~1. HAVE BROAD DISCRETION ON OVERSEEING THE DEPARTMENT'S ADOPTION OF~~
27 ~~RULES AND POLICIES.~~

28 ~~2. REVIEW RULEMAKING, INTERNAL TIMELINES AND PROCEDURAL~~
29 ~~EFFICIENCIES THAT AFFECT APPLICANTS, LESSEES AND PURCHASERS OF STATE TRUST~~
30 ~~LANDS.~~

31 ~~3. COLLABORATE WITH THE DEPARTMENT TO IDENTIFY OPPORTUNITIES FOR~~
32 ~~IMPROVED TRANSPARENCY, PREDICTABILITY AND ACCOUNTABILITY RELATING TO THE~~
33 ~~STATE LAND DEPARTMENT'S PROCESSES.~~

34 ~~4. ENSURE THE DEPARTMENT COMPLIES WITH THE LAWS OF THIS STATE.~~

35 ~~5. ON REQUEST OF THE CHAIRPERSON OF THE SENATE NATURAL RESOURCES~~
36 ~~COMMITTEE OF REFERENCE AND THE HOUSE OF REPRESENTATIVES NATURAL RESOURCES,~~
37 ~~ENERGY AND WATER COMMITTEE OF REFERENCE, OR THEIR SUCCESSOR COMMITTEES OF~~
38 ~~REFERENCE, PROVIDE TESTIMONY ON THE OPERATIONS AND OVERSIGHT OF THE~~
39 ~~DEPARTMENT.~~

40 ~~6. ON OR BEFORE JUNE 1, 2027 AND EACH YEAR THEREAFTER, SUBMIT A~~
41 ~~REPORT OF THE BOARD'S FINDINGS AND RECOMMENDATIONS TO THE CHAIRPERSONS OF~~
42 ~~THE SENATE NATURAL RESOURCES COMMITTEE OF REFERENCE AND THE HOUSE OF~~
43 ~~REPRESENTATIVES NATURAL RESOURCES, ENERGY AND WATER COMMITTEE OF~~
44 ~~REFERENCE, OR THEIR SUCCESSOR COMMITTEES OF REFERENCE, THE GOVERNOR, THE~~
45 ~~PRESIDENT OF THE SENATE AND THE SPEAKER OF THE HOUSE OF REPRESENTATIVES~~
46 ~~AND SHALL PROVIDE A COPY OF THIS REPORT TO THE SECRETARY OF STATE.>>~~

1 <<Sec. 16. Section 37-231, Arizona Revised Statutes, is amended to
2 read:

3 37-231. State lands subject to sale; rights reserved in lands
4 sold; state lands not subject to sale; development
5 agreements

6 A. All state lands, except as otherwise provided for in this title,
7 including all improvements made or placed on or connected with state
8 lands, shall be subject to appraisal and sale as provided in this title.

9 B. Any person over eighteen years of age is entitled to purchase
10 any of the state lands.

11 C. All sales, grants, deeds or patents to any state lands sold
12 between July 9, 1954 and March 18, 1968 shall be subject to and shall
13 contain a reservation to ~~[the]~~ [THIS] state of an undivided one-sixteenth
14 of all oil, gases and other hydrocarbon substances, coal or stone, metals,
15 minerals, fossils and fertilizer of every name and description, together
16 with all uranium, all thorium, or any other material ~~[which]~~ [THAT] is or
17 may be determined by the laws of ~~[the]~~ [THIS] state or the United States
18 or decisions of courts to be peculiarly essential to the production of
19 fissionable materials, whether or not of commercial value, subject to the
20 following:

21 1. For the purpose of promoting the sale of state lands and the
22 more active cooperation of the owner of the soil, and to facilitate the
23 development of its mineral resources, the state constitutes the purchaser
24 of the land its agent for the purposes specified in this section, and in
25 consideration hereof, relinquishes to and vests in the purchaser of the
26 state land an undivided fifteen-sixteenths of all oil, gas and the value
27 thereof ~~[which]~~ [THAT] may be ~~[upon]~~ [ON] or within any state land
28 purchased after July 9, 1954 and before March 18, 1968.

29 2. The purchaser of the soil may sell or lease to any person, firm
30 or corporation the oil and gas and other minerals ~~[which]~~ [THAT] may be on
31 or in the land, ~~[upon]~~ [ON] terms and conditions the purchaser and the
32 owner deem best, subject to the provisions and reservations of this
33 section, but the lessee or purchaser shall pay to ~~[the]~~ [THIS] state an
34 undivided one-sixteenth of the mineral produced or the value of the
35 mineral produced at the well or mine as determined by the state land
36 department.

37 3. ~~[Upon]~~ [ON] discovery of oil and gas in paying quantities on
38 land adjoining state lands purchased under the authority of this section,
39 the purchaser or the purchaser's lessee shall drill and produce all wells
40 necessary to protect the land so purchased from drainage by wells on lands
41 in which ~~[the]~~ [THIS] state has no royalty interest, or has a lesser
42 royalty interest. If the purchaser or the purchaser's lessee fails to
43 protect against such drainage, ~~[the]~~ [THIS] state, acting through the
44 ~~[state land]~~ department, ~~[may,]~~ three months after demand therefor in
45 writing by the ~~[state land]~~ department to such purchaser and the
46 purchaser's lessee, [MAY] enter ~~[upon]~~ [ON] such lands and drill all wells
47 necessary to protect ~~[the]~~ [THIS] state against such drainage.

1 4. The interest reserved by ~~[the]~~ [THIS] state in any state lands
 2 sold may be committed to a drilling unit or cooperative or unit plans of
 3 development and operation of oil and gas pools with the United States, its
 4 agencies and its and their lessees and permittees, and with private owners
 5 and persons holding oil and gas leases on private lands or on state lands.
 6 The ~~[state land]~~ department ~~[may]~~, insofar as the interest of ~~[the]~~ [THIS]
 7 state may be affected thereby, [MAY] join in and consent to any such plan
 8 on behalf of ~~[the]~~ [THIS] state. Such agreements shall provide for the
 9 equitable division on an agreed basis of the oil and gas produced from the
 10 unit, but ~~[no]~~ such [AN] agreement shall [NOT] relieve any operator from
 11 the obligation to develop reasonably the lands and leases as a whole
 12 committed thereto. The royalties to which ~~[the]~~ [THIS] state is entitled
 13 on production from land purchased under this section shall be computed
 14 only on that part of the production allocated to such tract. When the
 15 agreements made under this section provide for the return of gas to a
 16 formation underlying the unit, they may provide that no royalties are
 17 required to be paid on the gas so returned.

18 D. State lands known to contain oil, gases and other hydrocarbon
 19 substances, geothermal resources, coal or stone, metals, minerals, fossils
 20 and fertilizer of every name and description, in paying quantities, or
 21 uranium, thorium or any other material which is or may be determined by
 22 the laws of ~~[the]~~ [THIS] state the United States or decisions of court to
 23 be peculiarly essential to the production of fissionable materials,
 24 whether or not of commercial value, and state lands adjoining lands ~~[upon]~~
 25 [ON] which there are producing oil, gas or geothermal wells or adjoining
 26 lands known to contain any of such substances in paying quantities, or
 27 uranium, thorium or any other material peculiarly essential to the
 28 production of fissionable materials, whether or not of commercial value,
 29 shall not be sold. The prohibition against sale shall not operate to
 30 prevent the sale of lands known to contain, in paying quantities, common
 31 variety minerals as defined in section ~~[27-271]~~ [27-201.01] or to prevent
 32 the sale of lands where ~~[the]~~ [THIS] state does not own such substances,
 33 minerals or metals in the lands sought to be sold. ~~[The provisions of]~~
 34 This subsection shall not prohibit the sale of such lands located within
 35 the exterior boundaries of an incorporated city or town, in which case the
 36 commissioner may offer the land for sale, provided the land shall be used
 37 solely for a public purpose. Such land shall revert to ~~[the]~~ [THIS] state
 38 if it is used other than for a public purpose.

39 E. Notwithstanding ~~[the provisions of]~~ subsection C of this
 40 section, all state lands sold after March 18, 1968 shall be sold with the
 41 reservation that all oil, gas, other hydrocarbon substances, helium or
 42 other substances of a gaseous nature, geothermal resources, coal, metals,
 43 minerals, fossils, fertilizer of every name and description, together with
 44 all uranium, all thorium or any other material ~~[which]~~ [THAT] is or may be
 45 determined by the laws of the United States or of this state, or [BY]
 46 decisions of court, to be peculiarly essential to the production of
 47 fissionable materials, whether or not of commercial value, and the

1 exclusive right thereto, on, in, or under such land, shall be and remain
2 and be reserved in and retained by ~~[the]~~ [THIS] state, regardless of any
3 sale under this section and the issuance of any certificate of purchase to
4 any purchaser of state lands pursuant to this section, provided, that the
5 reservation shall not include common variety minerals as defined in
6 section ~~[27-271]~~ [27-201.01], subject to the following:

7 1. The ~~[state land]~~ department shall adopt rules providing for the
8 protection of the patentee or contract purchaser of state lands, or their
9 successors in interest, and ~~[the]~~ [THIS] state ~~[of Arizona]~~, against
10 damage to the lands, livestock, water, crops, or other tangible
11 improvements on lands held by such patentee or contract purchaser, and
12 suffered by reason of the use or occupation of such lands by lessees or
13 permittees engaged in mining and oil, gas and geothermal resource
14 exploration and development under leases or permits executed by the
15 department. The ~~[state land]~~ department ~~[may]~~, at any time, [MAY] require
16 each of its lessees or permittees to execute a bond in a reasonable
17 principal amount conditioned ~~[upon]~~ [ON] payment for all such damages.

18 2. The mineral rights reserved to ~~[the]~~ [THIS] state in the lands
19 sold shall be closed to entry and location as a mineral claim or claims,
20 but the department may issue, ~~[upon]~~ [ON] application, mineral exploration
21 permits embracing the reserved mineral rights when such issuance is deemed
22 in the best interest of ~~[the]~~ [THIS] state, provided that the surface
23 owner or owners shall have the first right of refusal to acquire such
24 mineral exploration permits.>>

25 <<Sec. 17. Section 37-233, Arizona Revised Statutes, is amended to
26 read:

27 37-233. Sale of state lands; restriction on sale of timber
28 land; expense of sale; procedures and criteria for
29 sale of state lands by the commissioner

30 A. On receiving an application, or on the commissioner's
31 initiative, the ~~[state land]~~ department, under the rules of the
32 department, may cause state lands to be sold if the sale of them is not
33 prohibited by law.

34 B. Land containing timber of a value which in the opinion of the
35 commissioner should be sold separately from the land shall not be subject
36 to sale until after the timber is sold.

37 C. When an application is filed with the department for selection
38 or sale of land under the laws of this state, and the department
39 determines that the benefit to be derived from the selection or sale is
40 less than the expense involved, the commissioner may accept from the
41 applicant an amount of money sufficient to pay the expense incidental to
42 the selection or sale. If the applicant fails to secure a lease after
43 selection of land, or fails to purchase land after bidding for it, the
44 successful lessee or purchaser shall reimburse the original applicant for
45 all funds so advanced.

46 [D. THE DEPARTMENT SHALL ESTABLISH A PROCEDURE AND CRITERIA THAT
47 THE COMMISSIONER MUST USE FOR DETERMINING WHETHER TO INITIATE THE SALE OF

1 STATE LANDS BY THE COMMISSIONER'S OWN INITIATIVE AND SHALL POST THE
2 PROCEDURE AND CRITERIA ON THE DEPARTMENT'S WEBSITE.

3 E. THE COMMISSIONER SHALL HIRE THIRD-PARTY CONTRACTORS TO APPRAISE
4 AND PREPARE FOR PUBLIC AUCTION. THE DEPARTMENT MAY HAVE EITHER DEPARTMENT
5 STAFF OR A THIRD-PARTY CONTRACTOR SATISFY THE NOTICE REQUIREMENTS
6 PRESCRIBED IN SECTION 37-237.

7 F. THIS SECTION DOES NOT PROHIBIT THE COMMISSIONER FROM SELLING
8 STATE LANDS THAT HAVE NOT BEEN IDENTIFIED FOR SALE IN THE FIVE YEAR
9 DISPOSITION PLAN ADOPTED PURSUANT TO SECTION 37-331.03 OR RESTRICT THE USE
10 OF LANDS SOLD PURSUANT TO THIS SECTION TO THE USES IDENTIFIED IN THE
11 CONCEPTUAL LAND USE PLAN ADOPTED PURSUANT TO SECTION 37-331.03.]>>

12 <<Sec. 18. Title 37, chapter 2, article 5, Arizona Revised
13 Statutes, is amended by adding section 37-325, to read:

14 37-325. Improvements; lease renewals; special land use
15 permits; holdover leases

16 [FOR A LEASE RENEWAL, PERMIT HOLDOVER PROVISIONS AND A SPECIAL LAND
17 USE PERMIT, THE DEPARTMENT SHALL DO ALL OF THE FOLLOWING:

18 1. APPROVE ANY IMPROVEMENTS THAT ARE CUSTOMARY IN THE LESSEE'S OR
19 PERMITTEE'S COURSE OF BUSINESS AND THAT ARE CONSISTENT WITH THE LEASE OR
20 PERMIT THAT THE DEPARTMENT ISSUED TO THE LESSEE OR PERMITTEE.
21 NOTWITHSTANDING ANY OTHER LAW, IF A LESSEE OR PERMITTEE SUBMITS AN
22 APPLICATION FOR PERMISSION TO CONSTRUCT OR MAKE AN IMPROVEMENT TO STATE
23 LANDS PURSUANT TO SECTION 37-321 AND THE DEPARTMENT DOES NOT TAKE ACTION
24 ON THE APPLICATION WITHIN NINETY DAYS AFTER RECEIPT, THE APPLICATION IS
25 AUTOMATICALLY APPROVED. AN IMPROVEMENT THAT IS AUTOMATICALLY APPROVED
26 PURSUANT TO THIS PARAGRAPH IS IN THE BEST INTEREST OF THIS STATE PURSUANT
27 TO SECTION 37-321.

28 2. WITHIN SIX MONTHS AFTER THE CONCLUSION OF A LEASE RENEWAL,
29 PERMIT HOLDOVER PROVISION OR A SPECIAL LAND USE PERMIT, THE DEPARTMENT
30 SHALL PROVIDE THE LESSEE OR PERMITTEE A REIMBURSEMENT PLAN THAT INCLUDES
31 BOTH OF THE FOLLOWING:

32 (a) A VALUATION OF THE FAIR MARKET VALUE OF ALL REASONABLE AND
33 CUSTOMARY IMPROVEMENTS THAT THE LESSEE OR PERMITTEE MADE TO THE STATE
34 LAND, AS DETERMINED BY AN INDEPENDENT THIRD-PARTY VENDOR.

35 (b) A REASONABLE TIMELINE IN WHICH THE DEPARTMENT WILL REIMBURSE
36 THE LESSEE OR PERMITTEE FOR THE FAIR MARKET VALUE OF ALL REASONABLE AND
37 CUSTOMARY IMPROVEMENTS THAT THE LESSEE OR PERMITTEE MADE TO THE STATE
38 LAND.

39 3. NOT LESS THAN SIX MONTHS BEFORE THE EXPIRATION OF A LEASE
40 RENEWAL OR SPECIAL LAND USE PERMIT, PROVIDE TO THE LESSEE OR PERMITTEE A
41 NOTICE OF EXPIRATION. THE NOTICE MUST INCLUDE ALL OF THE FOLLOWING:

42 (a) ANY PROPOSED RENTAL INCREASE OR PROPOSED CHANGE TO THE TERMS
43 AND CONDITIONS OF THE LEASE RENEWAL OR SPECIAL LAND USE PERMIT.

44 (b) THE INTENT OF THE DEPARTMENT TO RENEW OR TERMINATE THE LEASE OR
45 SPECIAL LAND USE PERMIT.

1 (c) THE JUSTIFICATION FOR THE COMMISSIONER'S DECISION, AS
2 PRESCRIBED IN SECTION 37-133, TO RENEW OR TERMINATE THE LEASE OR
3 PERMIT.]>>

4 Sec. 19. Section 37-331.03, Arizona Revised Statutes, is amended to
5 read:

6 37-331.03. Conceptual land use plans; five year state trust
7 land disposition plans; definitions

8 A. The [commissioner] [DEPARTMENT] shall create [AND APPROVE]
9 conceptual land use plans for all ~~urban~~ state trust land in this state ~~and~~
10 ~~other state trust lands the commissioner considers to be appropriate~~. The
11 commissioner shall:

12 1. Prioritize the creation of conceptual LAND USE plans to the
13 extent possible to:

14 (a) Correlate with the rate of population growth [in] ~~the~~ [urban
15 ~~AND RURAL~~] areas in this state.

16 (b) Coincide with the production of municipal general plans under
17 title 9, chapter 4, article 6 and county plans under title 11, chapter 6,
18 article 1.

19 [(c) PROMOTE ECONOMIC GROWTH IN THE RURAL AREAS OF THIS STATE.]

20 2. Revise and update each [CONCEPTUAL LAND USE] plan at least every
21 ten years. [THE COMMISSIONER SHALL ISSUE A WRITTEN ORDER APPROVING EACH
22 CONCEPTUAL LAND USE PLAN AND CONCEPTUAL LAND USE PLAN REVISION.]

23 3. Consult with the city, town [or] [AND] county in which the
24 [STATE TRUST] land is located ~~[and with any regional planning organization~~
25 ~~regarding integrating the conceptual LAND USE plan into the general land~~
26 ~~use plan of the city, town or county]~~ [AND THE ARIZONA GEOLOGICAL SURVEY].

27 4. [Submit] [POST] each CONCEPTUAL LAND USE plan[, and revision of
28 [the] [A] CONCEPTUAL LAND USE plan[, to the urban land planning oversight
29 committee for review] [AND THE COMMISSIONER'S WRITTEN APPROVAL OF EACH
30 CONCEPTUAL LAND USE PLAN AND CONCEPTUAL LAND USE PLAN REVISION ON THE
31 DEPARTMENT'S WEBSITE].

32 B. On approval of the conceptual land use plan by the commissioner
33 under this section, the conceptual LAND USE plan is ~~[considered to be]~~ a
34 state general plan for THE purposes of this article [AND REMAINS EFFECTIVE
35 UNTIL REVISED AS PRESCRIBED BY THIS SECTION].

36 C. The commissioner may create the conceptual land use plans under
37 subsection A of this section by any of the following methods:

38 1. Using [department staff] ~~or~~ [AND] private consultants.

39 2. Entering into participation contracts pursuant to section
40 37-239.

41 3. Issuing planning permits for [urban] [STATE] lands pursuant to
42 section 37-338.

43 4. Entering into planning contracts for urban lands or other state
44 trust lands the commissioner considers to be appropriate, including
45 compensation as provided by section 37-338, subsection D.

46 D. The commissioner shall create [A] five year disposition [plans]
47 [PLAN] for all state trust land in [EACH COUNTY IN] this state ~~[FOR EACH~~

1 ~~COUNTY~~], based at a minimum on market demand, [POTENTIAL ECONOMIC BENEFITS
2 TO RURAL COMMUNITIES OR] anticipated transportation and infrastructure
3 availability. The commissioner shall [DO ALL OF THE FOLLOWING]:

4 1. Review and update each FIVE YEAR DISPOSITION plan ~~each year~~
5 ~~[EVERY THREE YEARS OR]~~ [FOR EACH COUNTY] as ~~[may be]~~ necessary.

6 2. Consult with the city, town ~~[or]~~ [AND] county in which the land
7 is located ~~[and with any regional planning organization].~~

8 [3. POST EACH FIVE YEAR DISPOSITION PLAN, EACH FIVE YEAR
9 DISPOSITION PLAN REVISION AND EACH WRITTEN ORDER THAT ADOPTS OR APPROVES A
10 FIVE YEAR DISPOSITION PLAN OR FIVE YEAR DISPOSITION PLAN REVISION
11 AVAILABLE ON THE DEPARTMENT'S WEBSITE TO ENSURE CONFORMITY WITH THE
12 CONCEPTUAL LAND USE PLAN UNDER SUBSECTION A OF THIS SECTION.

13 4. ENSURE THAT EACH FIVE YEAR DISPOSITION PLAN AND FIVE YEAR
14 DISPOSITION PLAN REVISION CONFORMS WITH THE CONCEPTUAL LAND USE PLAN.]

15 ~~[3.]~~ [5.] HIRE THIRD-PARTY CONTRACTORS [TO PREPARE THE FIVE YEAR
16 DISPOSITION PLAN].

17 ~~[4.]~~ [6.] INCLUDE RESIDENTIAL DEVELOPMENT WITHIN THE SERVICE AREA
18 OF A MUNICIPAL PROVIDER AS DEFINED IN SECTION 45-561.

19 ~~3. [5. Submit each FIVE YEAR DISPOSITION plan and revision to the~~
20 ~~urban land planning oversight committee to ensure conformity with the~~
21 ~~conceptual LAND USE plan under subsection A OF THIS SECTION.]~~

22 [7. ISSUE A WRITTEN ORDER THAT APPROVES AND ADOPTS EACH FIVE YEAR
23 DISPOSITION PLAN AND FIVE YEAR DISPOSITION PLAN REVISION. ON APPROVAL OF
24 THE FIVE YEAR DISPOSITION PLAN, THE PLAN SHALL REMAIN EFFECTIVE UNTIL
25 REVISED AS PRESCRIBED BY THIS SECTION.

26 E. FOR ALL LAWS REGARDING THE BEST USE OF STATE LANDS OR THE BEST
27 INTERESTS OF THIS STATE REGARDING STATE LANDS, THE PROVISIONS OF THE
28 CONCEPTUAL LAND USE PLAN AND FIVE YEAR DISPOSITION PLAN ARE PRESUMED TO BE
29 CONSISTENT WITH THE BEST USE OF STATE LANDS AND THE BEST INTERESTS OF THIS
30 STATE. A PERSON MAY OVERCOME THIS PRESUMPTION BY DEMONSTRATING THAT
31 ANOTHER USE OF STATE LANDS IS A BETTER USE OF STATE LANDS. THIS SECTION
32 DOES NOT PROHIBIT THE CONVEYANCE OF STATE LANDS THAT ARE NOT IDENTIFIED IN
33 THE FIVE YEAR DISPOSITION PLAN OR CONCEPTUAL LAND USE PLAN.]

34 ~~[F.]~~ [F.] For the purposes of this section:

35 1. "Conceptual land use plan" means a plan that is developed for
36 ~~[urban]~~ state trust land ~~[and other state trust lands the commissioner~~
37 ~~considers to be appropriate]~~ and that identifies:

38 (a) Appropriate land uses [AND RIGHTS-OF-WAY], including
39 commercial, industrial, [MINING, FORESTRY, AGRICULTURAL, ENERGY, GRAZING,]
40 residential and ~~[open space]~~ [RECREATIONAL] uses [THAT GENERATE REVENUE].

41 (b) Transportation corridors and infrastructure requirements.

42 (c) All natural and artificial constraints and opportunities
43 associated with the land.

44 [(d) KNOWN AND PROVEN MINERAL RESOURCES, INCLUDING MINERALS, COMMON
45 VARIETY MINERALS AND COMMODITY TYPES, AS DEFINED IN SECTION 27-201.01.]

1 2. "Five year disposition plan" means a plan that identifies the
2 land projected to be sold, leased, reclassified for conservation purposes,
3 master planned or zoned during the next five years.

4 <<Sec. 20. Section 37-527, Arizona Revised Statutes, is amended to
5 read:

6 37-527. Trust land management fund

7 A. The trust land management fund is established. The fund
8 consists of [FEES COLLECTED PURSUANT TO SECTION 37-107.] ~~[Up to ten~~
9 ~~percent of the annual proceeds of:~~

10 ~~1. Each beneficiary's trust lands granted to this state by the~~
11 ~~United States.~~

12 ~~2. All sales of timber, mineral, gravel or other natural products~~
13 ~~or property from each beneficiary's trust lands granted to this state by~~
14 ~~the United States.~~

15 ~~B. The commissioner shall determine the percentage of trust land~~
16 ~~proceeds to be deposited in the fund each fiscal year. The percentage~~
17 ~~shall be the same for all beneficiaries. The commissioner shall notify~~
18 ~~the joint legislative budget committee and the governor's office of~~
19 ~~strategic planning and budgeting of the determination on or before~~
20 ~~September 1 of the preceding fiscal year.~~

21 ~~C.] [B.]~~ The monies in the fund:

22 1. Are subject to legislative appropriation. The department may
23 retain an amount of monies from the fund that is sufficient to pay the
24 department's costs for contracting with a qualified third-party reviewer
25 as prescribed in section 37-132, subsection A, paragraph 12.

26 2. Shall be used [exclusively] to manage trust lands as prescribed
27 by law [AND TO PREPARE STATE LANDS FOR SALE OR LEASE AS PRESCRIBED BY
28 LAW].

29 [3. MAY BE USED TO AWARD DEPARTMENT-WIDE PERFORMANCE-BASED
30 INCENTIVES AS PRESCRIBED IN SECTION 38-618. FOR THE PURPOSES OF THIS
31 PARAGRAPH, THE COMMISSIONER MAY ONLY USE MONIES COLLECTED PURSUANT TO
32 SECTION 37-107, SUBSECTION B, PARAGRAPH 1 AND THE COMMISSIONER MAY NOT
33 DIVERT MORE THAN TEN PERCENT OF THE REVENUES COLLECTED PURSUANT TO SECTION
34 37-107, SUBSECTION B, PARAGRAPH 1, IN ANY ONE FISCAL YEAR.]

35 D. The commissioner shall administer the fund. On notice from the
36 commissioner, the state treasurer shall invest and divest monies in the
37 fund as provided by section 35-313, and monies earned from investment
38 shall be credited to the fund.

39 E. Monies in the fund are exempt from the provisions of section
40 35-190 relating to lapsing of appropriations, but if the balance in the
41 fund at the end of any fiscal year exceeds two times the budget of the
42 department for the management of trust lands for the next fiscal year, the
43 excess amount shall be credited proportionately to the several permanent
44 funds based on the last fiscal year's deposits.

45 F. This section does not prevent the legislature from appropriating
46 state general fund monies for the purposes described in this section.>>

1 Sec. 21. Section 41-1001, Arizona Revised Statutes, is amended to
2 read:

3 41-1001. Definitions

4 In this chapter, unless the context otherwise requires:

5 1. "Agency" means any board, commission, department~~[, INCLUDING THE~~
6 ~~STATE LAND DEPARTMENT,]~~ officer or other administrative unit of this
7 state, including the agency head and one or more members of the agency
8 head or agency employees or other persons directly or indirectly
9 purporting to act on behalf or under the authority of the agency head,
10 whether created under the Constitution of Arizona or by enactment of the
11 legislature. Agency does not include the legislature, the courts or the
12 governor. Agency does not include a political subdivision of this state
13 or any of the administrative units of a political subdivision, but does
14 include any board, commission, department, officer or other administrative
15 unit created or appointed by joint or concerted action of an agency and
16 one or more political subdivisions of this state or any of their units.
17 To the extent an administrative unit purports to exercise authority
18 subject to this chapter, an administrative unit otherwise qualifying as an
19 agency must be treated as a separate agency even if the administrative
20 unit is located within or subordinate to another agency.

21 2. "Appealable agency action" has the same meaning prescribed in
22 section 41-1092.

23 3. "Audit" means an audit, investigation or inspection pursuant to
24 title 23, chapter 2 or 4.

25 4. "Code" means the Arizona administrative code, which is published
26 pursuant to section 41-1011.

27 5. "Committee" means the administrative rules oversight committee.

28 6. "Contested case" means any proceeding, including rate making,
29 except rate making pursuant to article XV, Constitution of Arizona, price
30 fixing and licensing, in which the legal rights, duties or privileges of a
31 party are required or permitted by law, other than this chapter, to be
32 determined by an agency after an opportunity for an administrative
33 hearing.

34 7. "Council" means the governor's regulatory review council.

35 8. "Delegation agreement" means an agreement between an agency and
36 a political subdivision that authorizes the political subdivision to
37 exercise functions, powers or duties conferred on the delegating agency by
38 a provision of law. Delegation agreement does not include
39 intergovernmental agreements entered into pursuant to title 11, chapter 7,
40 article 3.

41 9. "Emergency rule" means a rule that is made pursuant to section
42 41-1026.

43 10. "Fee" means a charge prescribed by an agency for an inspection
44 or for obtaining a license.

45 11. "Final rule" means any rule filed with the secretary of state
46 and made pursuant to an exemption from this chapter in section 41-1005,
47 made pursuant to section 41-1026, approved by the council pursuant to

1 section 41-1052 or 41-1053 or approved by the attorney general pursuant to
2 section 41-1044. For purposes of judicial review, final rule includes
3 expedited rules pursuant to section 41-1027.

4 12. "General permit" means a regulatory permit, license or agency
5 authorization that is for facilities, activities or practices in a class
6 that are substantially similar in nature and that is issued or granted by
7 an agency to a qualified applicant to conduct identified operations or
8 activities if the applicant meets the applicable requirements of the
9 general permit, that requires less information than an individual or
10 traditional permit, license or authorization and that does not require a
11 public hearing.

12 13. "License":

13 (a) Includes the whole or part of any agency permit, certificate,
14 approval, registration, charter or similar form of permission required by
15 law. ~~, but~~

16 (b) EXCEPT FOR [A LICENSE] [ANY AGENCY PERMIT, CERTIFICATE,
17 APPROVAL, REGISTRATION, CHARTER OR SIMILAR FORM OF PERMISSION THAT IS]
18 ISSUED BY THE STATE LAND DEPARTMENT, does not include a license required
19 solely for revenue purposes.

20 14. "Licensing" includes the agency process respecting the grant,
21 denial, renewal, revocation, suspension, annulment, withdrawal, change,
22 reduction, modification or amendment of a license, including an existing
23 permit, certificate, approval, registration, charter or similar form of
24 permission, approval or authorization obtained from an agency by the
25 holder of a license.

26 15. "Licensing decision" means any action by an agency to grant or
27 deny any request for permission, approval or authorization issued in
28 response to any request from an applicant for a license or to the holder
29 of a license to exercise authority within the scope of the license.

30 16. "Party" means each person or agency named or admitted as a
31 party or properly seeking and entitled as of right to be admitted as a
32 party.

33 17. "Person" means an individual, partnership, corporation,
34 association, governmental subdivision or unit of a governmental
35 subdivision, a public or private organization of any character or another
36 agency.

37 18. "Preamble" means:

38 (a) For any rulemaking subject to this chapter, a statement
39 accompanying the rule that includes:

40 (i) Reference to the specific statutory authority for the rule.

41 (ii) The name and address of agency personnel with whom persons may
42 communicate regarding the rule.

43 (iii) An explanation of the rule, including the agency's reasons
44 for initiating the rulemaking.

45 (iv) A reference to any study relevant to the rule that the agency
46 reviewed and either proposes to rely on in its evaluation of or
47 justification for the rule or proposes not to rely on in its evaluation of

1 or justification for the rule, where the public may obtain or review each
2 study, all data underlying each study and any analysis of each study and
3 other supporting material.

4 (v) The economic, small business and consumer impact summary, or in
5 the case of a proposed rule, a preliminary summary and a solicitation of
6 input on the accuracy of the summary.

7 (vi) A showing of good cause why the rule is necessary to promote a
8 statewide interest if the rule will diminish a previous grant of authority
9 of a political subdivision of this state.

10 (vii) Such other matters as are prescribed by statute and that are
11 applicable to the specific agency or to any specific rule or class of
12 rules.

13 (b) In addition to the information set forth in subdivision (a) of
14 this paragraph, for a proposed rule, the preamble also shall include a
15 list of all previous notices appearing in the register addressing the
16 proposed rule, a statement of the time, place and nature of the
17 proceedings for the making, amendment or repeal of the rule and where,
18 when and how persons may request an oral proceeding on the proposed rule
19 if the notice does not provide for one.

20 (c) In addition to the information set forth in subdivision (a) of
21 this paragraph, for an expedited rule, the preamble also shall include a
22 statement of the time, place and nature of the proceedings for the making,
23 amendment or repeal of the rule and an explanation of why expedited
24 proceedings are justified.

25 (d) For a final rule, except an emergency rule, the preamble also
26 shall include, in addition to the information set forth in subdivision
27 (a), the following information:

28 (i) A list of all previous notices appearing in the register
29 addressing the final rule.

30 (ii) A description of the changes between the proposed rules,
31 including supplemental notices and final rules.

32 (iii) A summary of the comments made regarding the rule and the
33 agency response to them.

34 (iv) A summary of the council's action on the rule.

35 (v) A statement of the rule's effective date.

36 (e) In addition to the information set forth in subdivision (a) of
37 this paragraph, for an emergency rule, the preamble also shall include an
38 explanation of the situation justifying the rule being made as an
39 emergency rule, the date of the attorney general's approval of the rule
40 and a statement of the emergency rule's effective date.

41 19. "Provision of law" means the whole or a part of the federal or
42 state constitution, or of any federal or state statute, rule of court,
43 executive order or rule of an administrative agency.

44 20. "Register" means the Arizona administrative register, which is:

45 (a) This state's official publication of rulemaking notices that
46 are filed with the office of secretary of state.

47 (b) Published pursuant to section 41-1011.

1 21. "Rule" means an agency statement of general applicability that
2 implements, interprets or prescribes law or policy, or describes the
3 procedure or practice requirements of an agency. Rule includes
4 prescribing fees or the amendment or repeal of a prior rule but does not
5 include intraagency memoranda that are not delegation agreements.

6 22. "Rulemaking" means the process to make a new rule or amend,
7 repeal or renumber a rule.

8 23. "Small business" means a concern, including its affiliates,
9 which is independently owned and operated, which is not dominant in its
10 field and which employs fewer than one hundred full-time employees or
11 which had gross annual receipts of less than four million dollars in its
12 last fiscal year. For purposes of a specific rule, an agency may define
13 small business to include more persons if it finds that such a definition
14 is necessary to adapt the rule to the needs and problems of small
15 businesses and organizations.

16 24. "Substantive policy statement" means a written expression which
17 informs the general public of an agency's current approach to, or opinion
18 of, the requirements of the federal or state constitution, federal or
19 state statute, administrative rule or regulation, or final judgment of a
20 court of competent jurisdiction, including, where appropriate, the
21 agency's current practice, procedure or method of action based upon that
22 approach or opinion. A substantive policy statement is advisory only. A
23 substantive policy statement does not include internal procedural
24 documents which only affect the internal procedures of the agency and does
25 not impose additional requirements or penalties on regulated parties,
26 confidential information or rules made in accordance with this chapter.

27 ~~<<Sec. 5. Section 41-1002, Arizona Revised Statutes, is amended to~~
28 ~~read:~~

29 ~~41-1002. Applicability and relation to other law;~~
30 ~~preapplication authorization; definitions~~

31 ~~A. This article and articles 2 through 5 of this chapter apply to~~
32 ~~all agencies and all proceedings not expressly exempted.~~

33 ~~B. This chapter creates only procedural rights and imposes only~~
34 ~~procedural duties. They are in addition to those created and imposed by~~
35 ~~other statutes. To the extent that any other statute would diminish a~~
36 ~~right created or duty imposed by this chapter, the other statute is~~
37 ~~superseded by this chapter, unless the other statute expressly provides~~
38 ~~otherwise.~~

39 ~~C. An agency may grant procedural rights to persons in addition to~~
40 ~~those conferred by this chapter so long as rights conferred on other~~
41 ~~persons by any provision of law are not substantially prejudiced.~~

42 ~~D. Unless specifically authorized by statute, an agency shall avoid~~
43 ~~duplication of other laws that do not enhance regulatory clarity and shall~~
44 ~~avoid dual permitting to the extent practicable.~~

45 ~~E. Unless specifically authorized by statute, an agency may not~~
46 ~~require preapplication authorization or require preapplication conferences~~
47 ~~as a requirement to filing an application that is otherwise allowed by~~

1 statute. If preapplication procedures are required by statute, an agency
2 shall consider the preapplication requirements or procedures as the
3 beginning of the licensing time frame for the purposes of article 7.1 of
4 this chapter. An agency may offer voluntary preapplication procedures
5 without specific statutory authority if the agency communicates to an
6 applicant that the preapplication procedures are not mandatory. If
7 preapplication procedures are offered by an agency, the agency shall
8 consider the costs and delays that may be imposed on an applicant and
9 shall seek to minimize those impacts.

10 F. Unless authorized by federal or state law, an agency may not
11 take any action that materially increases the regulatory burdens on a
12 business unless there is a threat to the health, safety and welfare of the
13 public that has not been addressed by legislation or industry regulation
14 within the proposed regulated field.

15 G. Unless authorized by federal or state law, an agency may not
16 apply a regulation to a qualified marketplace platform if the purpose of
17 that regulation is to regulate a business that provides goods or services
18 directly to the customer.

19 H. THIS CHAPTER APPLIES TO THE STATE LAND DEPARTMENT.

20 H. I. For the purposes of this section:

21 1. "Qualified marketplace contractor" means any person or
22 organization, including an individual, corporation, limited liability
23 company, partnership, sole proprietor PROPRIETORSHIP or other entity, that
24 enters into an agreement with a qualified marketplace platform to use the
25 qualified marketplace platform's digital platform to provide goods or
26 services to third-party individuals or entities seeking those services.

27 2. "Qualified marketplace platform" means an organization,
28 including a corporation, limited liability company, partnership, sole
29 proprietor PROPRIETORSHIP or any other entity, that operates a digital
30 platform that facilitates the provision of goods or services by qualified
31 marketplace contractors to third-party individuals or entities seeking
32 those goods or services. >>

33 Sec. 22. Repeal

34 Section 41-3026.05, Arizona Revised Statutes, is repealed.

35 Sec. 23. Title 41, chapter 27, article 2, Arizona Revised Statutes,
36 is amended by adding section 41-3030.19, to read:

37 41-3030.19. State land department; termination July 1, 2030

38 A. THE STATE LAND DEPARTMENT TERMINATES ON JULY 1, 2030.

39 B. TITLE 37, CHAPTERS 1 AND 2 AND THIS SECTION ARE REPEALED ON
40 JANUARY 1, 2031.

41 <<Sec. 8. Section 41-6011, Arizona Revised Statutes, is amended to
42 read:

43 41-6011. State natural resource conservation board;
44 membership; powers and duties

45 A. The state natural resource conservation board is established
46 consisting of the following members who are residents of this state:

1 ~~1. Eight members who are from different geographic natural resource~~
2 ~~areas as defined by a statewide organization that represents all natural~~
3 ~~resource conservation districts in this state. Four members shall be~~
4 ~~appointed by the governor, two members shall be appointed by the president~~
5 ~~of the senate and two members shall be appointed by the speaker of the~~
6 ~~house of representatives. The members appointed pursuant to this~~
7 ~~paragraph shall meet the following criteria:~~

8 ~~(a) At least six of the members must be elected supervisors for a~~
9 ~~natural resource conservation district.~~

10 ~~(b) Not more than two members may be appointed supervisors from a~~
11 ~~soil and water conservation district.~~

12 ~~(c) At least one member shall be a member of the executive board of~~
13 ~~a statewide organization that represents all natural resource conservation~~
14 ~~districts in this state.~~

15 ~~2. Three members who are appointed by the governor from any of the~~
16 ~~following and who serve at the pleasure of the governor:~~

17 ~~(a) The state land commissioner or state land commissioner's~~
18 ~~designee.~~

19 ~~(b) The director of the Arizona department of agriculture or the~~
20 ~~director's designee.~~

21 ~~(c) The state forester or the state forester's designee.~~

22 ~~(d) The director of the Arizona game and fish department or the~~
23 ~~director's designee.~~

24 ~~B. The board shall elect a chairperson from among its members. The~~
25 ~~chairperson must be a member who represents a natural resource~~
26 ~~conservation district or soil and water conservation district.~~

27 ~~C. The initial members of the board who are appointed pursuant to~~
28 ~~subsection A, paragraph 1 of this section shall assign themselves by lot~~
29 ~~to terms of one, two and three years in office. All subsequent members~~
30 ~~serve three-year terms. The chairperson of the board shall notify the~~
31 ~~governor's office of these terms.~~

32 ~~D. If a member's term as a supervisor expires while serving on the~~
33 ~~board, that member may not serve out the member's term as a board member.~~
34 ~~A replacement shall be appointed from the same geographic NATURAL resource~~
35 ~~area to fulfill the remainder of that member's term.~~

36 ~~E. Board members shall be reimbursed for expenses as prescribed by~~
37 ~~title 38, chapter 4, article 2 while attending board meetings.~~

38 ~~F. The board may appoint or contract for an administrative officer,~~
39 ~~a secretary and such other assistants as may be required, assign their~~
40 ~~duties, define their powers and determine the amount of bond required of~~
41 ~~any assistant entrusted with monies or property. The compensation of all~~
42 ~~such assistants shall be determined pursuant to section 38-611.~~

43 ~~G. The board shall adopt a seal, which shall be judicially noticed,~~
44 ~~and shall hold public hearings, keep records of all proceedings and annual~~
45 ~~records of district operations, adopt orders and rules and perform other~~
46 ~~acts as are necessary to carry out this chapter.~~

47 ~~H. The board shall:~~

~~1 1. Offer appropriate assistance to the supervisors of districts in
2 carrying out their powers and programs.
3 2. Keep the supervisors of each district informed of the activities
4 and experiences of other districts and of relevant information from other
5 states, and facilitate cooperation and interchange of advice, experience
6 and program opportunities between districts.
7 3. Coordinate the programs of the several districts insofar as
8 possible by advice and consultation.
9 4. Require the supervisors of each district to file with the board
10 annually any audits and the records of the operations of the district for
11 the preceding year in the form and detail as the board prescribes.
12 5. Secure the cooperation and assistance of the United States, its
13 agencies and agencies of this state, in the work of districts as local
14 units of state government with special expertise concerning land, soil,
15 water and natural resources management within the boundaries of the
16 district, as the board deems for the best interest of the state.
17 6. Disseminate information throughout the state concerning the
18 activities and program of districts.
19 7. Meet at least quarterly to receive updates from the board's
20 administrative officer regarding any relevant issue or matter necessary to
21 carry out this chapter, provide guidance to the administrative officer and
22 vote on any matters requiring a decision by the board.
23 8. Assist a district when the district is cooperating or
24 coordinating with a federal agency.
25 9. Assist districts with developing conservation action or
26 district-wide plans.
27 10. Adopt administrative rules that the board deems necessary and
28 proper to carry out this chapter.
29 11. MAINTAIN AUTHORITY OVER CONSERVATION PERMITTING ON STATE TRUST
30 LANDS. THE BOARD MAY DELEGATE THIS AUTHORITY TO THE APPLICABLE DISTRICT AS
31 DETERMINED BY THE BOARD.
32 12. COLLABORATE WITH THE STATE LAND DEPARTMENT FOR ANY CONSERVATION
33 OR ENVIRONMENTAL PERMITTING LOCATED ON STATE TRUST LAND. THE BOARD SHALL
34 IMMEDIATELY FORWARD ANY CONSERVATION OR ENVIRONMENTAL PERMITTING ISSUED OR
35 RECEIVED BY THE BOARD OR THE APPLICABLE DISTRICT TO THE STATE LAND
36 DEPARTMENT.
37 i. The board may remove a district supervisor from office if the
38 board determines, after reasonable notice and an impartial hearing, that
39 the supervisor is guilty of misfeasance, malfeasance or nonfeasance in
40 office. For the purposes of this subsection, "nonfeasance" includes the
41 failure to attend three consecutive meetings of district supervisors
42 without reasonable excuse.
43 j. The board, pursuant to chapter 4, article 4 of this title, may
44 contract for or employ professional and administrative services.
45 Contracts for professional services are exempt from chapter 23 of this
46 title.>>~~

1 <<Sec. 24. Section 44-301, Arizona Revised Statutes, is amended to
2 read:

3 44-301. Definitions

4 In this chapter, unless the context otherwise requires:

5 1. "Airdrop":

6 (a) Means to issue a unit of a digital asset that is distributed in
7 a broad, equipped and nondiscretionary manner based on conditions that are
8 capable of being satisfied by a participant in a blockchain system as
9 incentive-based rewards, including any of the following:

10 (i) To users of a digital asset or any blockchain system to which
11 the digital asset relates.

12 (ii) For activities that are directly related to the operation of
13 the blockchain system, including mining, validating, staking and any other
14 activity that is directly tied to the operation of the blockchain system.

15 (iii) To existing holders of another digital asset in proportion to
16 the total units of the other digital assets that are held by each person.

17 (b) Does not include an exchange of more than a nominal value of
18 cash, property or other assets.

19 2. "Apparent owner" means a person whose name appears on the
20 records of a holder as the person entitled to property held, issued or
21 owing by the holder.

22 3. "Business association" means any corporation, joint stock
23 company, investment company, partnership, limited partnership, registered
24 limited liability partnership, unincorporated association, joint venture,
25 limited liability company, business trust, trust company, land bank, safe
26 deposit company, safekeeping depository, financial organization, insurance
27 company, mutual fund, utility or other business entity, whether for profit
28 or not for profit, that consists of one or more persons.

29 4. "De minimis property" means any account balances of business
30 associations of \$50 or less that is payable to another business
31 association.

32 5. "Department" means the department of revenue.

33 6. "Digital assets" means any of the following that confers
34 economic, proprietary or access rights or powers:

35 (a) Virtual currencies.

36 (b) Cryptocurrencies.

37 (c) Any other digital-only assets.

38 7. "Director" means the director of the department of revenue.

39 8. "Domicile" means the state of incorporation of a corporation and
40 the state of the principal place of business of a holder other than a
41 corporation.

42 9. "Financial organization" means a savings and loan association,
43 building and loan association, savings bank, industrial bank, bank,
44 banking organization or credit union.

45 10. "Holder" means a person who is obligated to hold for the
46 account of or deliver or pay to the owner the property that is subject to
47 this chapter.

1 11. "Insurance company" means an association, corporation or
2 fraternal or mutual benefit society or organization, whether for profit or
3 not for profit, that is engaged in the business of providing life
4 endowments, annuities or insurance, including accident, burial, casualty,
5 credit life, contract performance, dental, disability, fidelity, fire,
6 health, hospitalization, illness, life, malpractice, marine, mortgage,
7 surety, wage protection and workers' compensation insurance.

8 12. "Mineral" means gas, oil, coal, sand, gravel, road material,
9 building stone, chemical raw material, gemstone, fissionable and
10 nonfissionable ores, colloid and other clay, steam and other geothermal
11 resource or any other substance defined as a mineral in sections ~~[27-231]~~
12 [27-201.01] and 27-901.

13 13. "Mineral proceeds" means the amounts payable for the
14 extraction, production or sale of minerals or, if those amounts are
15 abandoned, all payments that become payable after the abandonment.
16 Mineral proceeds include amounts payable:

17 (a) For the acquisitions and retention of a mineral lease,
18 including bonuses, royalties, compensatory royalties, shut-in royalties,
19 minimum royalties and delay rentals.

20 (b) For the extraction, production or sale of minerals, including
21 net revenue interest, royalties, overriding royalties, extraction payments
22 and production payments.

23 (c) Under an agreement or option, including a joint operating
24 agreement, unit agreement, pooling agreement and farm out agreement.

25 14. "Money order" includes an express money order and a personal
26 money order on which the remitter is the purchaser. Money order does not
27 include a bank money order or any other instrument that is sold by a
28 financial organization if the seller has obtained the name and address of
29 the payee.

30 15. "Owner" means a person who has a legal or equitable interest in
31 property that is subject to this chapter or the person's legal
32 representative. Owner includes a depositor in the case of a deposit, a
33 beneficiary in the case of a trust other than a deposit in trust and a
34 creditor, claimant or payee in the case of other property.

35 16. "Person" means an individual, business association, financial
36 organization, estate, trust, government, governmental subdivision, agency
37 or instrumentality or any other legal or commercial entity.

38 17. "Property":

39 (a) Means any of the following:

40 (i) Tangible property pursuant to section 44-303.

41 (ii) A fixed and certain interest in intangible property that is
42 held, issued or owed in the course of a holder's business or by a
43 government, governmental subdivision, agency or instrumentality and all
44 income or increments from that property.

45 (iii) Digital assets.

46 ~~[(c)]~~ [(b)] Includes property that is referred to as or evidenced
47 by any of the following:

- 1 (i) Money or any check, draft, deposit, interest or dividend.
2 (ii) Any credit balance, customer's overpayment, security deposit,
3 refund, credit memorandum, unpaid wage, unused ticket, mineral proceeds or
4 unidentified remittance.
5 (iii) Any stock or other evidence of ownership of an interest in a
6 business association or financial organization.
7 (iv) Any bond, debenture, note or other evidence of indebtedness.
8 (v) Money deposited to redeem stocks, bonds, coupons or other
9 securities or to make distributions.
10 (vi) An amount due and payable under the terms of an annuity or
11 insurance policy, including policies that provide life, property,
12 casualty, workers' compensation, health or disability insurance.
13 (vii) An amount distributable from a trust or custodial fund that
14 is established under a plan to provide health, welfare, pension, vacation,
15 severance, retirement, death, stock purchase, profit sharing, employee
16 savings or supplemental unemployment insurance or similar benefits.
17 ~~[(b)] [(c)]~~ Does not include de minimis property, property of a
18 person who is maintaining a current business relationship with the holder,
19 monies collected pursuant to section 46-441 and property that is referred
20 to or evidenced by gift certificates, electronic gift cards, nonrefundable
21 tickets, certificates evidencing property denominated in value other than
22 a currency, including prepaid phone cards, frequent flyer miles, stored
23 value cards and merchandise points.
24 18. "Record" means information that is inscribed on a tangible
25 medium or that is stored in any electronic or other medium and that is
26 retrievable in a perceivable form.
27 19. "Stake" means committing digital assets to a blockchain network
28 to participate in the blockchain network's operations by validating
29 transactions, proposing and attesting to blocks and securing the network.
30 20. "State" means a state of the United States, the District of
31 Columbia, the Commonwealth of Puerto Rico or any territory or insular
32 possession that is subject to the jurisdiction of the United States.
33 21. "Utility" has the same meaning prescribed in section 40-491.>>
34 <<Sec. 9. Rulemaking; delayed repeat
35 A. On or before July 1, 2028, the state land department shall adopt
36 rules for licensing time frames pursuant to section 37-102, subsection H,
37 paragraph 5, Arizona Revised Statutes, as added by this act.
38 B. On or before July 1, 2027, the state land department shall do
39 both of the following:
40 1. Open a rulemaking docket to adopt licensing time frames pursuant
41 to section 37-102, subsection H, paragraph 5, Arizona Revised Statutes, as
42 added by this act.
43 2. Conduct a study to determine the appropriate licensing time
44 frames for licenses issued by the department.
45 C. This section is repealed from and after December 31, 2028.>>

1 <<Sec. 25. Joint legislative ad hoc committee on state land
2 oversight; membership; delayed repeal
3 [A. The joint legislative ad hoc committee on state land oversight
4 is established.
5 B. The president of the senate and the speaker of the house of
6 representatives shall collaborate to determine the appropriate number of
7 members and to appoint members and cochairpersons of the joint legislative
8 ad hoc committee on state land oversight.
9 C. The senate and the house of representatives shall provide
10 meeting space and staff support as requested by the cochairpersons of the
11 joint legislative ad hoc committee on state land oversight.
12 D. The state land department and the state land commissioner shall
13 do both of the following on request of either of the cochairpersons of the
14 joint legislative ad hoc committee on state land oversight:
15 1. Provide any requested information that is in possession of the
16 state land department.
17 2. Appear and testify during a meeting of the committee.
18 E. This section is repealed from and after December 31, 2026.]>>
19 <<Sec. 26. Licensing time frames; legislative collaboration;
20 delayed repeal
21 [A. Before July 1, 2027, the state land department shall
22 collaborate with the stakeholders and members of joint legislative ad hoc
23 committee on state land oversight to develop time frames pursuant to
24 section 37-102, subsection I, paragraph 4, Arizona Revised Statutes, as
25 added by this act, and to develop procedures and criteria for state land
26 commissioner-initiated sales pursuant to section 37-233, subsection D,
27 Arizona Revised Statutes, as added by this act.
28 B. This section is repealed from and after December 31, 2028.]>>
29 <<Sec. 27. Five year disposition plans; conceptual land use
30 plan; requirements; delayed repeal
31 [A. Within two years after the effective date of this section, the
32 state land commissioner shall:
33 1. Complete the five year disposition plans for state trust lands
34 and update the conceptual land use plan for state lands pursuant to
35 section 37-331.03, Arizona Revised Statutes, as amended by this act.
36 2. Adopt written policies and procedures for updating:
37 (a) The five year disposition plan every five years.
38 (b) The conceptual land use plan every ten years.
39 3. Adopt written policies and procedures on how the state land
40 department will use the five year disposition plans and the conceptual
41 land use plan for determining whether state trust lands are or will be
42 sent to public auction.
43 4. Provide a copy of the five year disposition plans and the
44 conceptual land use plan and the policies and procedures adopted pursuant
45 to this section to the] joint legislative ad hoc committee on state land
46 oversight].>>

1 <<Sec. 11. ~~Legislative intent~~

2 ~~While the legislature has granted discretionary authority to the~~
3 ~~state land commissioner, the legislature intends that the state land~~
4 ~~department's processes and procedures be transparent and consistent with~~
5 ~~the manner that the legislature has prescribed for the disposition of~~
6 ~~state trust lands.>>~~

7 <<Sec. 28. Biosolids study committee; membership; powers and
8 duties; report; delayed repeal

9 [A. The biosolids study committee is established consisting of the
10 following members:

11 1. The chairperson of the senate natural resources committee, or
12 the chairperson's designee, who serves as the chairperson of the study
13 committee in even-numbered years.

14 2. The chairperson of the house of representatives natural
15 resources energy and water committee, or the chairperson's designee, who
16 serves as the chairperson of the study committee in odd-numbered years.

17 3. The director of the department of environmental quality or the
18 director's designee.

19 4. The director of the Arizona department of agriculture or the
20 director's designee.

21 5. The state land commissioner or the commissioner's designee.

22 6. The chairperson of the Yuma county board of supervisors or the
23 chairperson's designee.

24 B. The study committee shall review the use of biosolids for
25 agricultural and other uses in this state, including on state trust lands,
26 and shall evaluate the policy of accepting biosolids from other states.

27 C. The study committee may hold hearings, conduct fact-finding
28 tours, request data from any political subdivision of this state and take
29 testimony from witnesses who may assist the study committee in fulfilling
30 the study committee's responsibilities. All hearings held by the study
31 committee shall be open to the public.

32 D. The legislature, the state land department, the department of
33 environmental quality and the Arizona department of agriculture shall
34 provide meetings space, staff and support services to the study committee.

35 E. Study committee members are not eligible to receive compensation
36 but are eligible for reimbursement of expenses pursuant to title 38,
37 chapter 4, article 2, Arizona Revised Statutes.

38 F. On or before December 31, 2028, the study committee shall submit
39 a report of its findings and recommendations for rule changes or
40 legislative changes that the committee determines necessary to the
41 governor, the president of the senate and the speaker of the house of
42 representatives and shall provide a copy of this report to the secretary
43 of state.

44 G. This section is repealed from and after June 30, 2029.]>>

45 Sec. 29. Legislative findings

46 The legislature finds that[:] ~~[for years the state land department's~~
47 ~~lack of implementation of the statutory scheme has created a significant~~

~~1 loss of revenue to the state trust land beneficiaries, has led to a lack
2 of organization and streamlined processes and has perpetuated a poor
3 morale within the department.]~~

~~4 [1. According to the auditor general's performance audit and sunset
5 review of the state land department completed on July 9, 2025, the state
6 land department has failed to develop the statutorily required five year
7 disposition plans since 2016.~~

~~8 2. According to the auditor general's performance audit and sunset
9 review, all five members of the urban land planning oversight committee
10 have been vacant since at least 2018.~~

~~11 3. Pursuant to section 37-331.02, Arizona Revised Statutes, and
12 section 37-331.03, Arizona Revised Statutes, as amended by this act, the
13 urban land planning oversight committee serves in an advisory role only
14 and is not required for the commissioner to fulfill the commissioner's
15 obligations to create a five year disposition plan pursuant to statute.~~

~~16 4. The fact that the governor has not appointed any members to the
17 urban land planning oversight committee has not absolved the commissioner
18 of the commissioner's obligations to create a five year disposition plan
19 as prescribed in section 37-331.03, Arizona Revised Statutes, as amended
20 by this act.~~

~~21 5. The creation of a five year disposition plan is necessary for
22 housing affordability and to ensure the highest and best use of the land
23 for the beneficiaries of the trust.~~

~~24 6. Minerals and common variety minerals exist where they are.~~

~~25 7. Minerals and common variety minerals are needed for all forms of
26 commercial development on state trust lands, including affordable housing
27 and semiconductor fabrication.~~

~~28 8. Development that occurs over state trust lands that contain
29 minerals permanently locks away those minerals, preventing the minerals
30 from being extracted and permanently foreclosing their revenues from
31 accruing to the trust.~~

~~32 9. Mineral extraction is subject to reclamation plans that restore
33 the land to usable condition, and this makes the land usable for other
34 commercial uses when mining is completed.~~

~~35 10. While the legislature has granted discretionary authority to
36 the state land commissioner, the legislature intends that the state land
37 department's processes and procedures are transparent and consistent with
38 the manner that the legislature has prescribed for the disposition and
39 management of state trust lands.~~

~~40 11. This act is necessary to ensure the best interest of the state
41 land trust, the state land beneficiaries and this state.]~~

~~42 <<Sec. 29. Initial terms of members of state land oversight board~~

~~43 A. Notwithstanding section 37-111, Arizona Revised Statutes, as
44 added by this act, the initial terms of members are:~~

~~45 1. For three members from a county with a population of four
46 hundred thousand persons or more, three terms ending January 31, 2030.~~

1 ~~2. For three members from a county with a population of less than~~
2 ~~four hundred thousand persons and one member who specializes in finance or~~
3 ~~statewide water needs, four terms ending January 31, 2032.~~

4 ~~B. For the initial term, the president of the senate and the~~
5 ~~minority leader of the senate shall appoint first, the governor shall~~
6 ~~appoint second and the speaker of the house of representatives and the~~
7 ~~minority leader of the house of representatives shall appoint third.~~

8 ~~C. The appropriate appointing authority shall make all subsequent~~
9 ~~appointments as prescribed by statute.>>~~

10 Sec. 30. Purpose

11 Pursuant to section 41-2955, subsection B, Arizona Revised Statutes,
12 the legislature continues the state land department to have ~~[charge of and~~
13 ~~control]~~ [primary oversight] over all lands owned by this state ~~[and the~~
14 ~~timber, stone and gravel and other products of state land]~~, except lands
15 under the specific use and control of state institutions ~~[and the products~~
16 ~~of that land]~~, ~~[and the resources in and on those lands and to regulate~~
17 ~~the use of and access to those lands and resources]~~ as prescribed by the
18 enabling act, the Constitution of Arizona and state law and to perform
19 such other functions [in compliance with and] as prescribed by law.

20 Sec. 31. Retroactivity

21 Section 41-3026.05, Arizona Revised Statutes, as repealed by this
22 act, and section 41-3030.19, Arizona Revised Statutes, as added by this
23 act, apply retroactively to from and after July 1, 2026.

24 Enroll and engross to conform

25 Amend title to conform

GAIL GRIFFIN

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